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**UNITED STATES
SECURITIES AND EXCHANGE COMMISSION**

WASHINGTON, D.C. 20549

FORM 10-Q

- ☒ **QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**
For the quarterly period ended **June 30, 2026**
- ☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**
For the transition period from _____ to _____

Commission file number: 001-41968

SOLVENTUM CORPORATION

(Exact name of registrant as specified in its charter)

Delaware
(State or other jurisdiction of incorporation)

92-2008841
(IRS Employer Identification No.)

1750 Yankee Doodle Road, Eagan, Minnesota
(Address of Principal Executive Offices)

55121
(Zip Code)

(Registrant’s Telephone Number, Including Area Code) (651) 733-1110

Not Applicable

(Former Name or Former Address, if Changed Since Last Report)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Common Stock, Par Value \$.01 Per Share	SOLV	New York Stock Exchange

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act:

Large accelerated filer

☒

Accelerated filer

☐

Non-accelerated filer

☐

Smaller reporting company

☐

Emerging growth company

☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒

Indicate the number of shares outstanding of each of the issuer’s classes of common stock, as of the latest practicable date.

Class	Outstanding at July 31, 2026
Common Stock, \$0.01 par value per share	170,223,729

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SOLVENTUM CORPORATION
Form 10-Q for the period ended June 30, 2026

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SOLVENTUM CORPORATION
FORM 10-Q
For the Quarterly Period Ended June 30, 2026
PART I. Financial Information

Item 1. Financial Statements

Solventum Corporation
Condensed Consolidated Statements of Income (Unaudited)

(Millions, except per share data)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Net sales of product	\$ 1,698	\$ 1,668	\$ 3,211	\$ 3,265
Net sales of software and rentals	511	493	1,005	966
Total net sales	2,209	2,161	4,216	4,231
Cost of product	807	865	1,603	1,700
Cost of software and rentals	116	121	231	242
Gross profit	1,286	1,175	2,382	2,289
Selling, general and administrative expenses	927	772	1,754	1,541
Research and development expenses	178	189	367	381
Operating income	181	214	262	367
Interest expense, net	64	103	125	207
Other expense (income), net	9	8	13	19
Income before income taxes	108	103	123	141
Provision for (benefit from) income taxes	15	13	19	(86)
Net income	\$ 92	\$ 90	\$ 105	\$ 227
Earnings per share:				
Basic earnings per share	\$ 0.53	\$ 0.52	\$ 0.60	\$ 1.31
Diluted earnings per share	0.53	0.51	0.60	1.30
Weighted-average number of shares outstanding:				
Basic	172.7	174.1	173.5	173.9
Diluted	173.3	175.2	174.4	175.0

The accompanying notes are an integral part of these condensed consolidated financial statements.

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Solventum Corporation
Condensed Consolidated Statements of Comprehensive Income (Loss) (Unaudited)

(Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Net income	\$ 92	\$ 90	\$ 105	\$ 227
Other comprehensive income (loss), net of tax:				
Cumulative translation adjustment	(14)	284	(78)	438
Defined benefit pension and postretirement plans	12	12	23	26
Cash flow hedging instruments	4	(28)	11	(39)
Total other comprehensive income (loss), net of tax	2	268	(43)	425
Comprehensive income (loss)	\$ 94	\$ 358	\$ 62	\$ 652

The accompanying notes are an integral part of these condensed consolidated financial statements.

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Solventum Corporation
Condensed Consolidated Balance Sheets (Unaudited)

(Millions, except share information)	June 30, 2026	December 31, 2025
Assets		
Current assets		
Cash and cash equivalents	\$ 403	\$ 878
Accounts receivable — net of allowances of \$82 and \$87	1,310	1,034
Due from related parties	122	150
Inventories		
Finished goods	573	636
Work in process	218	201
Raw materials and supplies	249	229
Total inventories	1,040	1,066
Other current assets	865	731
Total current assets	3,741	3,859
Property, plant and equipment — net	1,565	1,326
Goodwill	5,626	5,704
Intangible assets — net	2,408	2,592
Other assets	904	814
Total assets	\$ 14,243	\$ 14,294
Liabilities		
Current liabilities		
Short-term borrowings and current portion of long-term debt	\$ 506	\$ —
Accounts payable	701	687
Due to related parties	331	435
Unearned revenue	596	621
Other current liabilities	1,528	1,393
Total current liabilities	3,663	3,136
Long-term debt	4,573	5,035
Pension and postretirement benefits	358	363
Deferred income taxes	157	164
Finance leases	207	—
Other liabilities	486	547
Total liabilities	\$ 9,443	\$ 9,245
Commitments and contingencies (Note 12)		
Equity		
Common stock, par value \$0.01 per share, 750,000,000 shares authorized	\$ 2	\$ 2
Shares - June 30, 2026: issued: 174,889,899; outstanding: 170,113,551		
Shares - December 31, 2025: issued and outstanding: 173,490,864		
Additional paid-in-capital	3,919	3,876
Retained earnings	1,902	1,797
Treasury stock, at cost	(355)	—
Shares - June 30, 2026: 4,776,348		
Shares - December 31, 2025: 0		
Accumulated other comprehensive income (loss)	(669)	(625)
Total equity	4,800	5,049
Total liabilities and equity	\$ 14,243	\$ 14,294

The accompanying notes are an integral part of these condensed consolidated financial statements.

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Solventum Corporation
Condensed Consolidated Statements of Changes in Equity (Unaudited)
Three Months Ended June 30, 2026 and June 30, 2025

(Millions)	Common Stock		Treasury Stock		Additional Paid-In- Capital	Retained Earnings	Accumulated Other Comprehensive Income (Loss)	Total
	Shares	Par Value	Shares	Amount				
Balance at March 31, 2026	174	\$ 2	1	\$ (67)	\$ 3,895	\$ 1,810	\$ (670)	\$ 4,969
Net income	—	—	—	—	—	92	—	92
Other comprehensive income (loss), net of tax	—	—	—	—	—	—	2	2
Stock-based compensation	—	—	—	—	36	—	—	36
Issuance of shares under equity awards, net of shares withheld for taxes	1	—	—	—	(12)	—	—	(12)
Purchase of treasury stock	—	—	4	(288)	—	—	—	(288)
Balance at June 30, 2026	175	\$ 2	5	\$ (355)	\$ 3,919	\$ 1,902	\$ (669)	\$ 4,800
Balance at March 31, 2025	173	\$ 2	—	\$ —	\$ 3,781	\$ 378	\$ (899)	\$ 3,262
Net income	—	—	—	—	—	90	—	90
Other comprehensive income (loss), net of tax	—	—	—	—	—	—	268	268
Net transfers to 3M	—	—	—	—	1	—	—	1
Stock-based compensation	—	—	—	—	34	—	—	34
Issuance of shares under equity awards, net of shares withheld for taxes	—	—	—	—	(10)	—	—	(10)
Balance at June 30, 2025	173	\$ 2	—	\$ —	\$ 3,806	\$ 468	\$ (631)	\$ 3,645

Six Months Ended June 30, 2026 and June 30, 2025

(Millions)	Common Stock		Treasury Stock		Additional Paid-In- Capital	Retained Earnings	Accumulated Other Comprehensive Income (Loss)	Total
	Shares	Par Value	Shares	Amount				
Balance at December 31, 2025	173	\$ 2	—	\$ —	\$ 3,876	\$ 1,797	\$ (625)	\$ 5,049
Net income	—	—	—	—	—	105	—	105
Other comprehensive income (loss), net of tax	—	—	—	—	—	—	(43)	(43)
Net transfers to 3M	—	—	—	—	2	—	—	2
Stock-based compensation	—	—	—	—	85	—	—	85
Issuance of shares under equity awards, net of shares withheld for taxes	1	—	—	—	(44)	—	—	(44)
Purchase of treasury stock	—	—	5	(355)	—	—	—	(355)
Balance at June 30, 2026	175	\$ 2	5	\$ (355)	\$ 3,919	\$ 1,902	\$ (669)	\$ 4,800
Balance at December 31, 2024	173	\$ 2	—	\$ —	\$ 3,771	\$ 242	\$ (1,056)	\$ 2,959
Net income	—	—	—	—	—	227	—	227
Other comprehensive income (loss), net of tax	—	—	—	—	—	—	425	425
Net transfers to 3M	—	—	—	—	(30)	—	—	(30)
Stock-based compensation	—	—	—	—	83	—	—	83
Issuance of shares under equity awards, net of shares withheld for taxes	—	—	—	—	(18)	—	—	(18)
Balance at June 30, 2025	173	\$ 2	—	\$ —	\$ 3,806	\$ 468	\$ (631)	\$ 3,645

The accompanying Notes to the Consolidated Financial Statements are an integral part of these statements.

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Solventum Corporation
Condensed Consolidated Statements of Cash Flows (Unaudited)

(Millions)	Six months ended June 30,	
	2026	2025
Cash Flows from Operating Activities		
Net income	\$ 105	\$ 227
Adjustments to reconcile net income to net cash provided by (used in) operating activities		
Depreciation and amortization	268	251
Pension and postretirement benefits	27	32
Stock-based compensation expense	89	83
Deferred income taxes	(88)	(177)
Changes in assets and liabilities		
Accounts receivable	(286)	(15)
Due from related parties	27	4
Inventories	18	(77)
Accounts payable	26	23
Due to related parties	(117)	(6)
Accrued compensation	(101)	(47)
All other operating activities — net	68	(100)
Net cash provided by operating activities	38	198
Cash Flows from Investing Activities		
Purchases of property, plant and equipment	(167)	(219)
Other — net	3	(5)
Net cash used in investing activities	(164)	(224)
Cash Flows from Financing Activities		
Repayment of debt	—	(200)
Proceeds from debt, net of issuance costs	46	—
Net transfers from (to) 3M	2	(30)
Purchases of treasury stock	(355)	—
Other — net	(44)	(19)
Net cash used in financing activities	(350)	(249)
Effect of exchange rate changes on cash and cash equivalents	1	7
Net increase (decrease) in cash and cash equivalents	(475)	(268)
Cash and cash equivalents at beginning of period	878	762
Less: cash and cash equivalents held for sale	—	(2)
Cash and cash equivalents at end of period	\$ 403	\$ 492
Supplemental Cash Flow Information		
Non-cash investing and financing activity:		
Right-of-use assets obtained in exchange for finance lease liability	\$ 204	\$ —

The accompanying notes are an integral part of these condensed consolidated financial statements.

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Solventum Corporation
Notes to the Condensed Consolidated Financial Statements (Unaudited)
NOTE 1. Significant Accounting Policies
Organization and Description of Business

Solventum Corporation ("Solventum," "we," "our," "us," or the "Company") was a business of 3M Company ("3M"). On April 1, 2024 (the "Distribution Date"), 3M completed the previously announced spin-off of Solventum Corporation (the "Spin-Off"). The Spin-Off was completed through a distribution of approximately 80.1% of the Company's outstanding common stock to holders of record of 3M's common stock as of the close of business on March 18, 2024 (the "Distribution"), which resulted in the issuance of 172,709,505 shares of common stock. As a result of the Distribution, the Company became an independent public company. Solventum's common stock is listed under the symbol "SOLV" on the New York Stock Exchange ("NYSE").

Solventum is a leading global healthcare company with a broad portfolio of trusted solutions that leverage deep material science, data science, and digital capabilities to address critical customer needs. Solventum is organized into three reportable business segments that are aligned with the end markets that the Company serves: MedSurg, Dental Solutions, and Health Information Systems.

Basis of Presentation

The unaudited condensed consolidated financial statements have been prepared in accordance with U.S. generally accepted accounting principles ("U.S. GAAP") and pursuant to the rules and regulations of the U.S. Securities and Exchange Commission ("SEC") and present the financial position, results of operations, and cash flows for the periods presented. The interim condensed consolidated financial statements are unaudited but, in the opinion of management, reflect all adjustments necessary for a fair statement of the Company's consolidated financial position, results of operations and cash flows for the periods presented. These adjustments consist of normal, recurring items. The results of operations for any interim periods are not necessarily indicative of results for the full year.

All amounts discussed are in millions of U.S. dollars, unless otherwise indicated. Amounts reported within this interim report are rounded to the nearest million and the sum of the components may not equal the total amount reported due to rounding. Additionally, certain columns and rows within tables may not sum due to rounding.

All intercompany transactions and balances within Solventum have been eliminated. These unaudited condensed consolidated financial statements include certain transactions with 3M, which are disclosed as related party transactions in Note 16, "Related Parties".

The unaudited condensed consolidated financial statements and related notes should be read in conjunction with the audited consolidated financial statements and related notes included in the Company's Annual Report on Form 10-K for the fiscal year ended December 31, 2025 (the "2025 Annual Report").

New Accounting Pronouncements

The table below provides summaries of recently issued financial accounting standards.

<i>Standard</i>	<i>Relevant Description</i>	<i>Effective Date for Solventum</i>	<i>Impact of Adoption</i>
ASU No. 2024-03, <i>Income Statement - Reporting Comprehensive Income - Expense Disaggregation Disclosures (Subtopic 220-40): Disaggregation of Income Statement Expenses</i>	Issued in November 2024. Requires additional disclosure of the nature of expenses included in the income statement.	Year-end December 31, 2027	The Company is currently assessing the impact that the updated standard will have on financial statement disclosures.
ASU No. 2025-06, <i>Intangibles—Goodwill and Other—Internal-Use Software (Subtopic 350-40): Targeted Improvements to the Accounting for Internal-Use Software</i>	Issued in September 2025. Updates existing accounting guidance regarding the capitalization of internal-use software costs.	January 1, 2026	The Company elected to early adopt this standard on a prospective basis. This early adoption did not have a material impact on the Company's consolidated financial statements.

[Table of Contents](#)**NOTE 2. Revenue Recognition*****Contract Balances***

Unearned revenue primarily relates to revenue that is recognized over time for one-year software license contracts. Approximately \$189 million and \$416 million of the December 31, 2025 balance was recognized as revenue during the three and six months ended June 30, 2026, while approximately \$159 million and \$379 million of the December 31, 2024 balance was recognized as revenue during the three and six months ended June 30, 2025.

Operating Lease Revenue

Sales of software and rental includes rental revenue from durable medical devices as part of operating lease arrangements (reported within the MedSurg segment), which was \$158 million and \$309 million for the three and six months ended June 30, 2026, and \$155 million and \$299 million for the three and six months ended June 30, 2025.

Customer Concentration

No customer accounted for more than 10% of the Company's revenues for the three and six months ended June 30, 2026 or 2025. Additionally, no customers accounted for more than 10% of accounts receivable as of June 30, 2026 or December 31, 2025.

NOTE 3. Acquisitions and Divestitures***Acquisitions***

The Company had no acquisitions during the three and six months ended June 30, 2026 or 2025.

In December 2025, the Company acquired Acera Surgical ("Acera"), a privately held bioscience company. Refer to the Company's 2025 Annual Report for additional details of the acquisition.

Total purchase consideration includes a future payment that is contingent on the acquired business achieving a sales-based milestone on or before December 31, 2030. The payment owed upon achievement of the milestone is \$125 million. The fair value of the future milestone payment was \$80 million at December 31, 2025. The change in the fair value of the contingent payment for the six months ended June 30, 2026 was an increase of \$12 million, primarily due to sales performance, resulting in a fair value of \$92 million at June 30, 2026. The contingent payment is classified as level 3 within the fair value hierarchy.

The Acera purchase price allocations are considered preliminary as of June 30, 2026, with final estimates of fair value expected to be completed by the end of 2026. During the six months ended June 30, 2026, the Company recorded adjustments to the purchase price allocation of \$18 million, primarily related to deferred taxes.

Divestitures

On September 1, 2025, Solventum completed the sale of its Purification and Filtration business to Thermo Fisher Scientific, Inc. ("Buyer"). Refer to the Company's 2025 Annual Report for additional details of the divestiture.

In connection with the sale, the Company entered into various transition service agreements to provide certain support services for a period of up to 24 months from the closing of the sale. As certain services were contracted at a price below fair market value, the Company recognized an unfavorable contract liability of \$113 million. The liability is being recognized as services are provided over the terms of the agreements. During the three and six months ended June 30, 2026, the Company recognized approximately \$36 million and \$70 million, respectively, of transition service income, including income related to the unfavorable contract liability, within selling, general and administrative expenses as an offset to costs incurred to support transition services provided to Buyer. As of June 30, 2026, the remaining balance of the unfavorable contract liability was \$76 million.

[Table of Contents](#)**NOTE 4. Goodwill and Intangible Assets****Goodwill**

The acquisition activity in the following table includes the net impact of adjustments to the preliminary allocation of purchase price within the one-year measurement period for the Acera acquisition.

The amounts in the “Translation and other” column in the following table primarily relate to changes in foreign currency exchange rates. The goodwill balance by business segment is as follows:

(Millions)	MedSurg	Dental Solutions	Health Information Systems	All Other	Total
Balance as of December 31, 2025	\$ 4,246	\$ 477	\$ 873	\$ 108	\$ 5,704
Acquisition activity	(18)	—	—	—	(18)
Translation and other	(51)	(8)	(1)	—	(60)
Balance as of June 30, 2026	\$ 4,177	\$ 469	\$ 872	\$ 108	\$ 5,626

Acquired Intangible Assets: The carrying amount and accumulated amortization of acquired finite-lived intangible assets are as follows:

(Millions)	June 30, 2026	December 31, 2025
Customer related	\$ 2,093	\$ 2,099
Patents and other technology-based	2,048	2,049
Tradenames and other	637	637
Total gross carrying amount	4,778	4,785
Accumulated amortization — customer related	(836)	(778)
Accumulated amortization — patents and other technology-based	(1,217)	(1,122)
Accumulated amortization — tradenames and other	(317)	(293)
Total accumulated amortization	(2,370)	(2,193)
Total intangible assets — net	\$ 2,408	\$ 2,592

Amortization expense was as follows:

(Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Amortization expense	\$ 90	\$ 78	\$ 181	\$ 159

Expected amortization expense for acquired amortizable intangible assets recorded as of June 30, 2026 is as follows:

(Millions)	Remainder of 2026	2027	2028	2029	2030	2031	After 2031
Amortization expense	\$ 180	\$ 355	\$ 351	\$ 312	\$ 207	\$ 205	\$ 798

NOTE 5. Supplemental Financial Information

Other current assets included in the condensed consolidated balance sheets consist of the following:

(Millions)	June 30, 2026	December 31, 2025
Other current assets		
Purification and filtration-related	\$ 399	\$ 387
Prepaid income taxes	144	116
Prepaid software	61	58
Other	261	170
Total other current assets	\$ 865	\$ 731

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Purification and filtration-related in the table above includes receivables and other assets associated with post-closing activity with Buyer.

Other assets included in the condensed consolidated balance sheets consist of the following:

(Millions)	June 30, 2026	December 31, 2025
Other assets		
Deferred taxes	\$ 344	\$ 263
Capitalized cloud-computing costs	234	203
Operating lease right-of-use	188	214
Other	138	134
Total other assets	\$ 904	\$ 814

Other current liabilities included in the condensed consolidated balance sheets consist of the following:

(Millions)	June 30, 2026	December 31, 2025
Other current liabilities		
Accrued compensation	\$ 217	\$ 320
Accrued taxes	176	196
Accrued rebates	226	172
Accrued interest	69	71
Accrued legal	242	43
Purification and filtration-related	258	245
Other	338	346
Total other current liabilities	\$ 1,528	\$ 1,393

Purification and filtration-related in the table above includes the current portion of the unfavorable contract liability as described in Note 3, along with other activity with Buyer, including amounts owed under the transition agreements.

Accrued legal includes both accrued litigation costs described in Note 12 and other accrued legal-related fees and services.

Supply Chain Financing

The Company participates in a voluntary supply chain financing ("SCF") program which provides participating suppliers the opportunity to sell their Solventum receivables to third party financial institutions at the sole discretion of both the suppliers and the third party financial institutions. The Company evaluates the SCF program to ensure the use of a third-party intermediary to settle its trade payables does not change the nature, existence, amount, or timing of our trade payables and does not provide the Company with any direct economic benefit and does not provide any guarantees in connection with the SCF program. The Company and its suppliers agree on contractual terms for the goods and services we procure, including price, quantity and payment terms, regardless of whether the supplier elects to participate in the SCF program. The amounts due to the financial institution for suppliers that participate in the SCF program are included in accounts payable on the Company's condensed consolidated balance sheets, and the associated payments are included in operating activities on the Company's condensed consolidated statements of cash flows.

As of June 30, 2026, the amount of obligations outstanding that the Company has confirmed as valid to the financial institution under the SCF program was less than \$1 million. There were no obligations outstanding as of December 31, 2025.

[Table of Contents](#)**NOTE 6. Property, Plant, and Equipment - Net**

Property, plant and equipment - net consisted of the following:

(Millions)	June 30, 2026	December 31, 2025
Property, plant and equipment - at cost		
Buildings and leasehold improvements	\$ 1,147	\$ 873
Machinery and equipment	1,826	1,821
Construction in progress	483	499
Gross property, plant and equipment	3,455	3,193
Accumulated depreciation	(1,891)	(1,867)
Property, plant and equipment - net	\$ 1,565	\$ 1,326

In March 2026, the Company commenced a finance lease arrangement through April 2046 for its principal office in Eagan, Minnesota. As of June 30, 2026, the Company had right-of-use assets of approximately \$204 million related to the finance lease, included within Property, plant and equipment - net and reflected in the buildings and leasehold improvements line in the table above. The related finance lease liability of approximately \$209 million is included in Finance leases and Other current liabilities on the Company's condensed consolidated balance sheets. The discount rate used to calculate the present value of lease payments was 6.47%.

Depreciation expense consisted of the following:

(Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Depreciation expense	\$ 36	\$ 38	\$ 75	\$ 80

NOTE 7. Supplemental Equity and Comprehensive Income Information***Share Repurchase Program***

In November 2025, Solventum's Board of Directors approved a share repurchase program, which authorizes the Company to purchase up to \$1 billion of the Company's outstanding common stock. Under this program, the Company repurchased 3.9 million and 4.8 million shares of its common stock for total consideration of approximately \$288 million and \$355 million through open market repurchases during the three and six months ended June 30, 2026, respectively. There were no repurchases made under this program in 2025.

Changes in Accumulated Other Comprehensive Income (Loss) by Component

The table below presents the changes in accumulated other comprehensive income (loss) ("AOCI"), including the reclassifications out of AOCI by component:

Three months ended June 30, 2026

(Millions)	Cumulative Translation Adjustment	Defined Benefit Pension and Postretirement Plans	Cash Flow Hedging	Total Accumulated Other Comprehensive Income (Loss)
Balance at March 31, 2026, net of tax:	\$ (193)	\$ (477)	\$ (1)	\$ (670)
Other comprehensive income (loss), before tax:				
Amount of gain (loss) recognized in AOCI	(17)	—	3	(14)
Amount of gain (loss) reclassified from AOCI	—	16	3	18
Total other comprehensive income (loss), before tax	(17)	16	6	4
Tax effect	3	(4)	(1)	(2)
Total other comprehensive income (loss), net of tax	(14)	12	4	2
Balance at June 30, 2026, net of tax:	\$ (207)	\$ (465)	\$ 3	\$ (669)

[Table of Contents](#)**Three months ended June 30, 2025**

(Millions)	Cumulative Translation Adjustment	Defined Benefit Pension and Postretirement Plans	Cash Flow Hedging	Total Accumulated Other Comprehensive Income (Loss)
Balance at March 31, 2025, net of tax:	\$ (396)	\$ (512)	\$ 9	\$ (899)
Other comprehensive income (loss), before tax:				
Amount of gain (loss) recognized in AOCI	267	—	(32)	235
Amount of gain (loss) reclassified from AOCI	—	16	(4)	12
Total other comprehensive income (loss), before tax	267	16	(36)	247
Tax effect	17	(4)	8	21
Total other comprehensive income (loss), net of tax	284	12	(28)	268
Balance at June 30, 2025, net of tax:	\$ (112)	\$ (500)	\$ (19)	\$ (631)

Six months ended June 30, 2026

(Millions)	Cumulative Translation Adjustment	Defined Benefit Pension and Postretirement Plans	Cash Flow Hedging	Total Accumulated Other Comprehensive Income (Loss)
Balance at December 31, 2025, net of tax:	\$ (130)	\$ (488)	\$ (8)	\$ (625)
Other comprehensive income (loss), before tax:				
Amount of gain (loss) recognized in AOCI	(72)	—	10	(62)
Amount of gain (loss) reclassified from AOCI	—	31	4	35
Total other comprehensive income (loss), before tax	(72)	31	15	(26)
Tax effect	(6)	(8)	(3)	(17)
Total other comprehensive income (loss), net of tax	(78)	23	11	(43)
Balance at June 30, 2026, net of tax:	\$ (207)	\$ (465)	\$ 3	\$ (669)

Six months ended June 30, 2025

(Millions)	Cumulative Translation Adjustment	Defined Benefit Pension and Postretirement Plans	Cash Flow Hedging	Total Accumulated Other Comprehensive Income (Loss)
Balance at December 31, 2024, net of tax:	\$ (550)	\$ (526)	\$ 20	\$ (1,056)
Other comprehensive income (loss), before tax:				
Amount of gain (loss) recognized in AOCI	418	—	(43)	375
Amount of gain (loss) reclassified from AOCI	—	35	(7)	28
Total other comprehensive income (loss), before tax	418	35	(50)	403
Tax effect	20	(9)	11	22
Total other comprehensive income (loss), net of tax	438	26	(39)	425
Balance at June 30, 2025, net of tax:	\$ (112)	\$ (500)	\$ (19)	\$ (631)

Additional details on the amounts reclassified from AOCI into consolidated income include:

- Defined benefit pension and postretirement plans: amounts were reclassified into other expense (income), net (see Note 10).
- Cash flow hedging: foreign currency forward contract amounts were reclassified into cost of sales (see Note 11).

- The tax effects, if applicable, associated with these reclassifications were reflected in provision for (benefit from) income taxes.

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NOTE 8. Income Taxes

The effective tax rates for the three months ended June 30, 2026 and 2025 were 14.4% and 12.5%, respectively. The increase in the effective tax rate is primarily attributable to an unfavorable geographic mix of earnings.

The effective tax rates for the six months ended June 30, 2026 and 2025 were 15.0% and (61.0)%, respectively. The increase in the effective tax rate is primarily attributable to the non-recurrence of the prior year tax benefit related to the Purification and Filtration divestiture, as well as an unfavorable geographic mix of earnings.

The Company's income tax provision or benefit for the interim periods is determined based on an estimated annual effective tax rate, adjusted for discrete items. Because significant foreign earnings are generated by the Company's subsidiaries organized in jurisdictions with lower statutory tax rates, the Company's estimated annual effective tax rate may be materially impacted if earnings in these lower-tax jurisdictions fluctuate.

The Company recognizes deferred tax assets to the extent that it believes these assets are more likely than not to be realized based on an evaluation of all available positive and negative evidence. On the basis of this evaluation, the Company continues to maintain a valuation allowance to reduce its deferred tax assets to the amount realizable.

NOTE 9. Long-Term Debt and Short-Term Borrowings

The carrying value includes the impact of debt issuance costs. Long-term debt and short-term borrowings as of June 30, 2026 and December 31, 2025 consisted of the following:

(Millions)	Description	Currency	Effective Interest Rate	Final Maturity Date	Carrying Value	
					June 30, 2026	December 31, 2025
	Three year senior term loan credit facility	USD	4.98	2027	\$ 110	\$ 110
	\$1 billion 5.45 percent three year senior notes	USD	5.37	2027	349	349
	\$1.5 billion 5.40 percent five year senior notes	USD	5.31	2029	698	698
	\$1 billion 5.45 percent seven year senior notes	USD	5.32	2031	991	991
	\$1.65 billion 5.60 percent ten year senior notes	USD	5.47	2034	1,632	1,636
	\$1.25 billion 5.90 percent thirty year senior notes	USD	6.00	2054	1,210	1,209
	\$500 million 6.00 percent forty year senior notes	USD	6.09	2064	42	42
	Other borrowings		2.15	2027	47	—
	Total debt				5,079	5,035
	Less: short-term borrowings and current portion of long-term debt				506	—
	Long-term debt (excluding current portion)				\$ 4,573	\$ 5,035

Senior Notes

The Company's borrowings include \$5.0 billion aggregate principal amount of senior notes with maturity dates ranging from 2027 through 2064 (collectively, the "Senior Notes"). The Senior Notes are governed by an indenture and supplemental indenture between the Company and a trustee (collectively, the "Indenture"). The Indenture contains certain customary affirmative and negative covenants, including restrictions on the Company's ability to consolidate, merge, convey, transfer or lease substantially all of its assets. In addition, the Indenture contains other customary terms, including certain events of default, upon the occurrence of which the Senior Notes may be declared immediately due and payable. The Company is in compliance with all covenants related to the Senior Notes.

Other borrowings consist of term loans utilized in connection with the exit of certain transition agreements with 3M.

Credit Facilities

On February 16, 2024, the Company entered into credit agreements providing for:

- a five year senior unsecured revolving credit facility in an aggregate committed amount of \$2.0 billion expiring in 2029 (the “5-year Revolving Credit Facility”); and

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- an eighteen month senior unsecured term loan credit facility in an aggregate principal amount of \$500 million (matured in 2025) and a three year senior unsecured term loan credit facility in an aggregate principal amount of \$1.0 billion (together, the “Term Loan Credit Facilities,” and together with the 5-year Revolving Credit Facility, the “Credit Facilities”). The Term Loan Credit Facilities have a floating interest rate based on a Secured Overnight Financing Rate (“SOFR”) index.

At June 30, 2026, there are no amounts outstanding under the 5-year Revolving Credit Facility.

Commercial Paper

On March 4, 2024, the Company entered into a commercial paper program that allows it to issue up to \$2.0 billion aggregate principal amount of short-term notes to finance short-term liabilities. Any such issuance will mature within 364 days from the date of issue. There was no commercial paper outstanding as of June 30, 2026 or December 31, 2025.

Future Maturities of Long-term Debt: Maturities of long-term debt in the table below reflect the impact of repayment such that total maturities equal the contractual value of long-term debt net of amounts repaid as of June 30, 2026. The maturities of long-term debt for the periods subsequent to June 30, 2026 are as follows (in millions):

Remainder of 2026	2027	2028	2029	2030	2031	After 2031	Total
\$ —	\$ 460	\$ —	\$ 703	\$ —	\$ 1,000	\$ 2,920	\$ 5,083

Financial Instruments Not Measured at Fair Value

The fair values of cash equivalents, accounts receivable, and accounts payable approximated carrying values because of the short-term nature of these instruments. At June 30, 2026, the estimated fair value of the Company’s long-term debt obligations, comprised of both Senior Notes and Term Loan Credit Facilities with current portions excluded, was \$4.7 billion compared to a carrying value of \$4.6 billion. At December 31, 2025, the estimated fair value of the Company’s long-term debt obligations, comprised of both Senior Notes and Term Loan Credit Facilities with current portions excluded, was \$5.2 billion compared to a carrying value of \$5.0 billion. The fair value was estimated using quoted market prices for the publicly registered Senior Notes, which are classified as Level 2 within the fair value hierarchy. The fair values and principal values consider the terms of the related debt and exclude the impacts of debt discounts. Because there is no active market for trading outstanding term loans, the fair values of the Term Loan Credit Facilities are estimated to be equal to their respective carrying values.

NOTE 10. Pension and Postretirement Benefit Plans

Components of net periodic cost and other amounts recognized in other comprehensive (income) loss

Components of net periodic benefit cost and other supplemental information for the three and six months ended June 30, 2026 and 2025 are as follows:

Three months ended June 30,

(Millions)	Qualified and Non-qualified Pension Benefits					
	United States		International		Postretirement Benefits	
	2026	2025	2026	2025	2026	2025
Net periodic benefit cost (benefit)						
Operating expense						
Service cost - Operating	\$ 6	\$ 6	\$ 4	\$ 5	\$ 1	\$ 1
Non-operating expense						
Interest cost	23	24	6	5	3	3
Expected return on plan assets	(32)	(31)	(6)	(6)	(2)	(2)
Amortization of net actuarial loss	16	16	—	—	1	1
Non-operating	7	9	(1)	(1)	1	2
Total net periodic benefit cost (benefit)	\$ 13	\$ 15	\$ 4	\$ 4	\$ 2	\$ 3

[Table of Contents](#)**Six months ended June 30,**

(Millions)	Qualified and Non-qualified Pension Benefits				Postretirement Benefits	
	United States		International			
	2026	2025	2026	2025	2026	2025
Net periodic benefit cost (benefit)						
Operating expense						
Service cost - Operating	\$ 12	\$ 12	\$ 9	\$ 10	\$ 1	\$ 2
Non-operating expense						
Interest cost	46	48	11	10	6	6
Expected return on plan assets	(63)	(62)	(12)	(12)	(4)	(4)
Amortization of prior service benefit	—	—	—	—	(1)	—
Amortization of net actuarial loss	31	32	—	—	1	2
Non-operating	13	18	(1)	(2)	2	4
Total net periodic benefit cost (benefit)	\$ 25	\$ 30	\$ 7	\$ 8	\$ 3	\$ 6

During the six months ended June 30, 2026, the Company made cash contributions totaling \$7 million to its international pension plans. In 2026, the Company expects to make total cash contributions of approximately \$22 million to these plans. The Company funds annually, at a minimum, the statutorily required minimum amount for its qualified plans. Non-qualified plans are unfunded and we pay benefits from our cash on hand. Future contributions will depend on market conditions, interest rates and other factors.

NOTE 11. Derivatives

The Company uses foreign currency forward contracts, interest rate swaps and cross-currency swaps to manage risks associated with foreign currency exchange rates, interest rates and net investments in foreign operations. Refer to the Company's 2025 Annual Report for additional details on the Company's derivative instruments both designated and not designated in hedging relationships.

Cash Flow Hedges - For derivative instruments that are designated and qualify as cash flow hedges, the gain or loss on the derivative is reported as a component of other comprehensive income (loss) and reclassified into earnings in the same period during which the hedged transaction affects earnings. Gains and losses on the derivative representing hedge components excluded from the assessment of effectiveness are recognized in current earnings.

Cash Flow Hedging - Foreign Currency Forward Contracts: The Company enters into foreign exchange forward contracts to hedge against the effect of exchange rate fluctuations on cash flows denominated in foreign currencies. These transactions are designated as cash flow hedges. The settlement or extension of these derivatives will result in reclassifications (from accumulated other comprehensive income) to earnings in the period during which the hedged transactions affect earnings. Solventum may de-designate these cash flow hedge relationships in advance of the occurrence of the forecasted transaction. The portion of gains or losses on the derivative instrument previously included in accumulated other comprehensive income (loss) for de-designated hedges remains in accumulated other comprehensive income (loss) until the forecasted transaction occurs or becomes probable of not occurring. Changes in the value of derivative instruments after de-designation are recorded in earnings. The maximum length of time over which Solventum hedges its exposure to the variability in future cash flows of the forecasted transactions is 24 months.

As of June 30, 2026, the Company had a balance of \$3 million associated with the after-tax net unrealized gain associated with cash flow hedging instruments recorded in accumulated other comprehensive income. Of the total after-tax net unrealized balance as of June 30, 2026, Solventum expects to reclassify to earnings approximately \$1 million of after-tax net unrealized gain over the next 12 months based on exchange rates as of June 30, 2026.

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Fair Value Hedges - The Company enters into interest rate swaps to manage its exposure to changes in fair value of the Company's fixed-rate debt. Under these arrangements, the Company agrees to exchange, at specific intervals, the difference between fixed and floating interest amounts calculated by reference to an agreed-upon notional principal amount. Gains and losses associated with interest rate swaps and changes in fair value of the hedged debt are recorded to interest expense in the period they occur. For the three and six months ended June 30, 2026, the gain associated with the designated interest rate swaps and the change in fair value of the hedged debt were not material. There were no derivative instruments designated in fair value hedging relationships for the three and six months ended June 30, 2025.

In January 2026, the Company entered into an additional \$100 million notional fixed-to-floating interest rate swap with a maturity date of March 2031. In February 2026, the Company entered into an additional \$100 million notional fixed-to-floating interest rate swap with a maturity date of March 2033. These derivatives were designated as fair value hedges of the Company's Senior Notes.

At June 30, 2026, the total notional amount of interest rate swaps designated as fair value hedges was \$300 million.

Net Investment Hedges - The Company enters into cross-currency swaps to hedge portions of the Company's investment in foreign operations and manage foreign exchange risk. For instruments that are designated and qualify as hedges of net investments in foreign operations and that meet the effectiveness requirements, the net gains and losses attributable to changes in spot exchange rates are recorded in cumulative translation within other comprehensive income. The remainder of the change in value of such instruments is recorded in earnings. Recognition in earnings of amounts previously recorded in cumulative translation is limited to circumstances such as complete or substantially complete liquidation of the net investment in the foreign operation.

For the three and six months ended June 30, 2026, the Company recognized a pre-tax loss of \$13 million and a pre-tax gain of \$25 million, respectively, as adjustments to cumulative translation within other comprehensive income (loss). For the three and six months ended June 30, 2025, the pre-tax losses recognized in cumulative translation within other comprehensive income (loss) were \$67 million and \$78 million, respectively.

At June 30, 2026, the total notional amount of cross-currency swaps designated as net investment hedges was approximately \$1.2 billion.

Derivatives Not Designated as Hedging Instruments - Derivatives not designated as hedging instruments include foreign currency contracts to offset, in part, the impacts of changes in value of various non-functional currency denominated items including certain intercompany financing balances.

These derivative instruments are not designated in a hedging relationship; therefore, fair value gains and losses on these contracts are recorded in earnings.

Statement of Income Location and Impact of Derivative Instruments

The impact to income related to both derivative instruments designated in cash flow hedging relationships and those not designated as hedging instruments for the three and six months ended June 30, 2026 and 2025 were not material. The impact from derivative instruments designated in cash flow hedging relationships was reflected within cost of sales and the impact from derivatives not designated as hedging instruments was reflected within other expense (income), net on the condensed consolidated statements of income.

The amount of gain (loss) excluded from effectiveness testing recognized in income relative to instruments designated in net investment hedge relationships is not material.

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The following tables summarize the fair value of Solventum's derivative instruments and their location in the condensed consolidated balance sheets. Notional amounts below are presented at period end foreign exchange rates.

(Millions)	Gross Notional Amount		Location	Assets		Location	Liabilities	
				Fair Value Amount			Fair Value Amount	
	June 30,	December 31,		June 30,	December 31,		June 30,	December 31,
	2026	2025		2026	2025		2026	2025
Derivatives designated as hedging instruments								
Foreign currency forward contracts	\$ 226	\$ 293	Other current assets	\$ 5	\$ 3	Other current liabilities	\$ 3	\$ 10
Foreign currency forward contracts	127	96	Other assets	3	1	Other liabilities	—	2
Interest rate swaps	300	100	Other assets	—	—	Other liabilities	7	1
Cross-currency swaps	1,185	1,185	Other assets	1	—	Other liabilities	48	71
Total derivatives designated as hedging instruments	\$ 1,838	\$ 1,674		\$ 9	\$ 4		\$ 58	\$ 84
Derivatives not designated as hedging instruments								
Foreign currency forward contracts	\$ 878	\$ 481	Other current assets	\$ 4	\$ 1	Other current liabilities	\$ 5	\$ 3

Fair Value Disclosure: The Company's derivative assets and liabilities within the scope of ASC 815, *Derivatives and Hedging*, are required to be recorded at fair value. The Company's derivatives that are recorded at fair value include foreign currency forward contracts and cross-currency swaps. Solventum has determined that these derivatives are considered Level 2 fair value measurements. Solventum determines fair value using observable inputs including foreign currency exchange rates.

Credit Risk and Offsetting of Assets and Liabilities of Derivative Instruments: The Company is exposed to credit loss in the event of nonperformance by counterparties in forward contracts. However, the Company's risk is limited to the fair value of the instruments. The Company actively monitors its exposure to credit risk through the use of credit approvals and credit limits, and by selecting major international banks and financial institutions as counterparties. Solventum enters into master netting arrangements with counterparties, which may allow each counterparty to net settle amounts owed between a Solventum entity and the counterparty as a result of multiple, separate derivative transactions. The Company does not anticipate nonperformance by any of these counterparties.

Solventum has elected to present the fair value of derivative assets and liabilities within the Company's condensed consolidated balance sheets on a gross basis even when derivative transactions are subject to master netting arrangements and may otherwise qualify for net presentation. Solventum determined that the impact of the amount of eligible offsetting derivative assets and liabilities was not material if it had elected to offset the asset and liability balances of derivative instruments, netted in accordance with various criteria in the event of default or termination as stipulated by the terms of netting arrangements with each of the counterparties. For each counterparty, if netted, the Company would offset the asset and liability balances of all derivatives at the end of the reporting period based on the Solventum entity that is a party to the transactions. Derivatives not subject to master netting agreements are not eligible for net presentation. For the periods presented, Solventum has not received cash collateral from derivative counterparties.

NOTE 12. Commitments and Contingencies**Legal Proceedings**

Solventum is the subject of numerous claims and lawsuits, principally in the United States, and regulatory proceedings worldwide. These claims, lawsuits and proceedings relate to matters including, but not limited to, product liability (involving products that the Company now or formerly manufactured and sold, including products made by the Health Care Business Group at 3M), intellectual property, commercial, antitrust, federal healthcare program related laws and regulations, such as the False Claims Act and anti-kickback laws in the United States and other jurisdictions. Unless otherwise stated, Solventum is vigorously defending any litigation

and proceedings involving these matters. From time to time, Solventum also receives subpoenas, investigative demands or requests for information from various government agencies in the United States and foreign countries. Solventum generally responds in a cooperative, thorough and timely manner. These responses sometimes require time and effort and can result in considerable costs being incurred by the Company. Such requests can also lead to the

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assertion of claims or the commencement of administrative, civil, or criminal legal proceedings against Solventum and others, as well as to settlements. The outcomes of legal proceedings and regulatory matters are often difficult to predict. Any determination that the Company's operations or activities are not, or were not, in compliance with applicable laws or regulations could result in an award of damages or the imposition of fines, civil or criminal penalties, and equitable remedies, including disgorgement, suspension or debarment or injunctive relief.

Process for Disclosure and Recording of Liabilities Related to Legal Proceedings

Many lawsuits and claims involve highly complex issues relating to causation, scientific evidence, and alleged actual damages, all of which are otherwise subject to substantial uncertainties. Assessments of lawsuits and claims can involve a series of complex judgments about future events and can rely heavily on estimates and assumptions. The categories of legal proceedings in which the Company is involved may include multiple lawsuits and claims, may be spread across multiple jurisdictions and courts that may handle the lawsuits and claims differently, may involve numerous and different types of plaintiffs, raising claims and legal theories based on specific allegations that may not apply to other matters, and may seek substantial compensatory and, in some cases, punitive, damages. These and other factors contribute to the complexity of these lawsuits and claims and make it difficult for the Company to predict outcomes and make reasonable estimates of any resulting losses. The Company's ability to predict outcomes and make reasonable estimates of potential losses is further influenced by the fact that a resolution of one or more matters within a category of legal proceedings may impact the resolution of other matters in that category in terms of timing, amount of liability, or both.

When making determinations about recording liabilities related to legal proceedings, the Company complies with the requirements of ASC 450, *Contingencies*, and related guidance, and records liabilities in those instances where it can reasonably estimate the amount of the loss and when the loss is probable. Where the reasonable estimate of the probable loss is a range, the Company records as an accrual in its financial statements the most likely estimate of the loss, or the low end of the range if there is no one best estimate. The Company either discloses the amount of a possible loss or range of loss in excess of established accruals if estimable, or states that such an estimate cannot be made. The Company discloses significant legal proceedings even where liability is not probable or the amount of the liability is not estimable, or both, if the Company believes there is at least a reasonable possibility that a loss may be incurred. Based on experience and developments, the Company reexamines its estimates of probable liabilities and associated expenses and receivables each period, and whether a loss previously determined to not be reasonably estimable and/or not probable is now able to be reasonably estimated or has become probable. Where appropriate, the Company makes additions to or adjustments of its reasonably estimated losses and/or accruals. As a result, the current accruals and/or estimates of loss and the estimates of the potential impact on the Company's consolidated financial position, results of operations and cash flows for the legal proceedings and claims pending against the Company will likely change over time. During the three months ended June 30, 2026, the Company recognized \$204 million in legal charges. There were no legal charges recognized in the three months ended March 31, 2026. During the three and six months ended June 30, 2025, the Company recognized zero and \$12 million in legal charges, respectively. During the six months ended June 30, 2026 and 2025, the Company made payments of zero and \$16 million, respectively, related to a legal settlement, which reduced the accrued litigation balance. At June 30, 2026 and December 31, 2025, accrued litigation costs were \$235 million and \$31 million, respectively.

Because litigation is subject to inherent uncertainties, and unfavorable rulings or developments could occur, the Company may ultimately incur charges substantially in excess of presently recorded liabilities, including with respect to matters for which no accruals are currently recorded because losses are not currently probable and reasonably estimable. Many of the matters described herein are at varying stages, seek an indeterminate amount of damages or seek damages in amounts that the Company believes are not indicative of the ultimate losses that may be incurred. It is not uncommon for claims to be resolved over many years. As a matter progresses, the Company may receive information, through plaintiff demands, through discovery, in the form of reports of purported experts, or in the context of settlement or mediation discussions that purport to quantify an amount of alleged damages, but with which the Company may not agree. Such information may or may not lead the Company to determine that it is able to make a reasonable estimate as to a probable loss or range of loss in connection with a matter. However, even when a loss or range of loss is not probable and reasonably estimable, developments in, or the ultimate resolution of, a matter could be material to the Company and could have a material adverse effect on the Company, its consolidated financial position, results of operations and cash flows. In addition, future adverse rulings or developments, or settlements in, one or more matters could result in future changes to determinations of probable and reasonably estimable losses in other matters.

Process for Disclosure and Recording of Insurance Receivables Related to Legal Proceedings

The Company estimates insurance receivables based on an analysis of the terms of its numerous policies, including their exclusions, pertinent case law interpreting comparable policies, its experience with similar claims, and assessment of the nature of the claim and remaining coverage, and records an amount it has concluded is recognizable and expects to receive in light of the loss recovery

and/or gain contingency models under ASC 450, ASC 610-30, and related guidance. For those insured legal proceedings for which the Company has recorded an accrued liability in its financial statements, the Company also records

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receivables for the amount of insurance that it concludes as recognizable from the Company's insurance program. For those insured matters for which the Company has not recorded an accrued liability because the liability is not probable or the amount of the liability is not estimable, or both, but for which the Company has incurred an expense in defending itself, the Company records receivables for the amount of insurance that it concludes as recognizable for the expense incurred.

During the second quarter of 2026, the Company received proceeds of \$55 million related to an insurance policy covering previously incurred litigation costs. The Company has not recognized any other receivables for insurance as recovery is not deemed probable at this time.

Product Liability Litigation

The following sections first describe the significant legal proceedings in which the Company is involved, and then describe the liabilities, if any, the Company has accrued relating to its significant legal proceedings.

3M is a named defendant in approximately 8,400 lawsuits in the United States and one Canadian putative class action with a single named plaintiff, alleging that they underwent various joint arthroplasty, cardiovascular, and other surgeries and later developed surgical site infections due to the use of the Bair Hugger patient warming system. Under the terms of the Separation and Distribution Agreement by and between Solventum and 3M (the "Separation and Distribution Agreement"), Solventum has agreed to indemnify 3M for uninsured liabilities related to the Bair Hugger patient warming system, to manage the litigation, and pay for legal expenses.

The U.S. Judicial Panel on Multidistrict Litigation ("JPML") has consolidated all cases pending in federal courts to the U.S. District Court for the District of Minnesota to be managed in a multi-district litigation ("MDL") proceeding. In July 2019, the court excluded several of the plaintiffs' causation experts, and granted summary judgment for 3M in all cases pending at that time in the MDL; however, those decisions were subsequently reversed by the U.S. Court of Appeals for the Eighth Circuit. The parties are actively litigating several MDL bellwether and state court cases.

In addition to the federal MDL cases, there are eight state court personal injury cases relating to the Bair Hugger patient warming systems, including a multi-plaintiff case of amputees in Ramsey County, Minnesota. Additionally, a putative class action has been filed in Ramsey County, Minnesota, seeking economic damages for the use of the Bair Hugger system in knee and hip replacement surgeries involving medically obese people in Minnesota from May 2017 to the present.

In June 2016, 3M was served with a putative class action filed in the Ontario Superior Court of Justice for all Canadian residents who underwent various joint arthroplasty, cardiovascular, and other surgeries and later developed surgical site infections that the representative plaintiff claims were due to the use of the Bair Hugger patient warming system. The representative plaintiff seeks relief (including punitive damages) under Canadian law based on theories similar to those asserted in the MDL.

For product liability litigation matters described in this section for which a liability has been recorded, the amount recorded is included in the disclosed amounts in the preceding *"Process for Disclosure and Recording of Liabilities Related to Legal Proceedings"* section. During the second quarter of 2026, based on developments in the Bair Hugger matter, the Company increased its litigation accrual to management's best estimate of probable loss at this time. The Company is not able to estimate a possible loss or range of possible loss in excess of the recorded liability at this time.

Warranties/Guarantees

The Company had approximately \$93 million and \$82 million in bank guarantees, surety bonds, and other similar instruments issued and outstanding at June 30, 2026 and December 31, 2025, respectively. These instruments are utilized in connection with normal business activities. Furthermore, the Company does not disclose information on its product warranties, as management considers the balance immaterial to its consolidated results of operations and financial condition.

Tariffs

In 2025, the United States government announced tariffs on imported goods from certain countries. In response, some of those countries threatened or imposed retaliatory tariffs and other measures. On February 20, 2026, the United States Supreme Court issued a decision concluding that the International Emergency Economic Powers Act (the "IEEPA") does not provide authority for the President to impose tariffs.

IEEPA tariff refunds are accounted for as a gain contingency and are recognized in the financial statements when fully realized or realizable. Refunds attributed to inventory previously sold are recorded as a reduction of cost of product and refunds attributed to costs for hardware units in service are recorded as a reduction in other assets.

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In April 2026, the U.S. Customs and Border Protection ("CBP") agency formalized a process for refunds. In June 2026, the Company submitted requests for refunds that were accepted by the CBP totaling approximately \$120 million, including interest. The Company recognized a corresponding receivable in other current assets for the total amount and a pre-tax benefit of \$100 million to cost of product within the condensed consolidated financial statements as of June 30, 2026. Other assets decreased by \$14 million for tariffs previously capitalized as a cost of hardware.

NOTE 13. Restructuring***Transform for the Future***

In November 2025, the Company approved its new multiyear 'Transform for the Future' global initiative (the "Program") to further enable its long-term growth strategy and ensure it's best positioned to compete-to-win in a rapidly changing healthcare environment. Designed to transform the cost structure, enhance operational efficiency, and reposition for profitable growth, the primary activities of the Program include operating structure optimization and workforce reorganization, procurement and cost management, supply chain, manufacturing and global footprint optimization, and streamlining systems and increased automation to improve operational efficiency. Once fully implemented, the four-year program is expected to generate approximately \$500 million in annual cost savings, a portion of which will be reinvested in strategic growth initiatives. The Company anticipates cumulative pretax costs related to the Program will be approximately \$500 million.

The related restructuring charges for periods presented were recorded in the consolidated statements of income as follows:

(Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Cost of product	\$ 9	\$ —	\$ 10	\$ —
Cost of software and rentals	—	—	—	—
Selling, general and administrative expenses	33	—	66	—
Research and development expenses	—	—	3	—
Total operating income impact	\$ 42	\$ —	\$ 79	\$ —

Restructuring actions, including cash and non-cash impacts, are as follows:

(Millions)	Employee Termination Benefits	Other Restructuring-related	Total
Expense incurred in 2025	\$ 42	\$ 11	\$ 53
Non-cash changes	(4)	—	(4)
Cash payments	(4)	(7)	(11)
Accrued liabilities as of December 31, 2025	\$ 34	\$ 5	\$ 39
Expense incurred in first quarter of 2026	\$ 2	\$ 35	\$ 37
Non-cash changes	2	—	2
Cash payments	(16)	(6)	(22)
Accrued liabilities as of March 31, 2026	\$ 22	\$ 34	\$ 56
Expense incurred in second quarter of 2026	\$ 11	\$ 31	\$ 42
Non-cash changes	—	(8)	(8)
Cash payments	(10)	(39)	(48)
Accrued liabilities as of June 30, 2026	\$ 24	\$ 18	\$ 42

Other includes charges associated with salaries and wages of employees fully dedicated to the Program, asset write-downs related to transformation activities and consulting service fees. All Program charges were recognized within Corporate and are not included within business segment results.

[Table of Contents](#)**Solventum Way**

In the fourth quarter of 2024, the Company announced its Solventum Way restructuring program, which is a reorganization designed to establish a more flexible and decentralized structure, create headroom to invest for growth and an operating model that enhances margins over time. The actions under the Solventum Way restructuring program are substantially complete.

The related restructuring charges for periods presented were recorded in the consolidated statements of income as follows:

(Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Cost of product	\$ —	\$ 1	\$ —	\$ 11
Cost of software and rentals	—	—	—	—
Selling, general and administrative expenses	—	5	3	10
Research and development expenses	—	2	—	5
Total operating income impact	\$ —	\$ 8	\$ 3	\$ 26

Restructuring actions, including cash and non-cash impacts, are as follows:

(Millions)	Employee Termination Benefits and Other
Accrued liabilities as of December 31, 2024	\$ 53
Expense incurred in 2025	27
Non-cash changes	(4)
Cash payments	(67)
Accrued liabilities as of December 31, 2025	\$ 9
Expense incurred in first quarter of 2026	\$ 3
Cash payments	(6)
Accrued liabilities as of March 31, 2026	\$ 6
Expense incurred in second quarter of 2026	\$ —
Cash payments	(3)
Accrued liabilities as of June 30, 2026	\$ 3

Other primarily includes charges associated with asset write-offs and other contractual third party termination costs. All program charges were recognized within Corporate and are not included within business segment results.

NOTE 14. Earnings Per Share

The dilutive effect of outstanding stock options, restricted stock units (“RSUs”) and performance share units (“PSUs”) is reflected in the calculation of earnings per share using the treasury stock method. Diluted earnings per share excludes certain shares issuable under stock-based compensation plans because the effect would have been antidilutive.

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The computations for basic and diluted earnings per share are as follows:

(Amounts in millions, except per share amounts)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Numerator:				
Net income	\$ 92	\$ 90	\$ 105	\$ 227
Denominator:				
Weighted average common shares outstanding – basic	172.7	174.1	173.5	173.9
Dilution associated with stock-based compensation plans	0.6	1.1	0.9	1.1
Weighted average common shares outstanding – diluted	173.3	175.2	174.4	175.0
Basic earnings per share	\$ 0.53	\$ 0.52	\$ 0.60	\$ 1.31
Diluted earnings per share	\$ 0.53	\$ 0.51	\$ 0.60	\$ 1.30
Antidilutive shares	3.6	4.4	3.3	4.1

NOTE 15. Stock-Based Compensation

Solventum grants annual stock-based compensation awards to certain employees and non-employee directors. In 2026, the Company's annual grant occurred in the first quarter and included: 1.3 million RSUs that vest over 3 years with a weighted average grant date fair value of \$70.78 and 0.5 million PSUs that vest based on a combination of service, performance and market conditions, with a weighted average grant date fair value of \$73.28. The actual number of PSUs that vest could range from 0% to 200% of the target number of shares granted and will be determined based on the Company's performance against financial targets and total shareholder return relative to a selected industry peer group; performance is measured over a three-year period ending December 31, 2028.

RSU awards granted as part of the annual grant contain a retirement provision whereby employees who have reached age 55 and completed ten years of service with the Company continue to vest in their award after they retire. Expense for the RSU awards granted to retirement eligible recipients is immediately recognized on the grant date as the award contains a non-substantive vesting condition. Annual PSU awards contain a similar retirement provision, but include a one-year service condition to fully vest in the award. Expense for PSU awards to retirement eligible recipients is recognized over the one-year service period.

Employee Stock Purchase Plan

Solventum offers an Employee Stock Purchase Plan ("ESPP") which provides substantially all employees the option to purchase company stock through payroll deductions at a 15% discount, calculated based on the closing market price of Solventum stock at the end of the offering period. The plan provides two six-month offering periods, commencing on January 1 and July 1. An aggregate of 4.0 million shares of the Company's common stock has been authorized for issuance under the ESPP. Expense related to the ESPP was immaterial for the three and six months ended June 30, 2026, and is reflected in the stock-based compensation expense table below.

Stock-Based Compensation Expense

Amounts recognized in the condensed consolidated financial statements related to stock-based compensation awards, including stock options, RSUs, and PSUs are provided in the following table. Total stock-based compensation expense recognized in cost of product and cost of software and rentals has been combined in the table below within cost of sales. Capitalized stock-based compensation amounts were not material.

(Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Cost of sales	\$ 2	\$ 3	\$ 8	\$ 8
Selling, general and administrative expenses	33	28	71	64
Research and development expenses	3	3	10	11
Stock-based compensation expenses	38	34	89	83
Income tax benefits (expense)	(7)	(6)	(16)	(11)
Stock-based compensation expenses, net of tax	\$ 31	\$ 28	\$ 73	\$ 72

[Table of Contents](#)**NOTE 16. Related Parties****Related Party Transactions After Spin-Off*****Separation and Distribution Agreement and Other Related Party Transactions with 3M***

In connection with the Spin-Off on April 1, 2024, the Company entered into or adopted several agreements that provide a framework for Solventum's relationship with 3M after the separation and distribution. Below is a summary of activity between Solventum and 3M for the periods presented:

- Separation related adjustments, which are the net impact of certain assets and liabilities that were retained by 3M and those that were transferred to Solventum as of March 31, 2024. This activity, including adjustments since the Spin-Off, is reflected in the "Net transfers from/to 3M" line item of the condensed consolidated statements of changes in equity.
- Transition agreement expenses for the three and six months ended June 30, 2026 were \$97 million and \$201 million, respectively, and for both the three and six months ended June 30, 2025 were \$135 million and \$272 million, respectively, and are related to services received under transition agreements between the Company and 3M and its affiliates. These expenses are reflected in cost of product and operating expense (which is comprised of selling, general and administrative and research and development expenses) on the Company's condensed consolidated statements of income.
- Master Supply Agreements - The Company recognized revenue and cost of sales associated with products sold to 3M of \$23 million and \$15 million, respectively, for the three months ended June 30, 2026. The Company recognized revenue and cost of sales associated with products sold to 3M of \$40 million and \$26 million, respectively, for the six months ended June 30, 2026. The Company recognized revenue and cost of sales associated with products sold to 3M of \$22 million and \$16 million, respectively, for the three months ended June 30, 2025. The Company recognized revenue and cost of sales associated with products sold to 3M of \$42 million and \$31 million, respectively, for the six months ended June 30, 2025. Cost of product related to purchases from 3M under the master supply agreements was \$54 million and \$117 million for the three and six months ended June 30, 2026, respectively, and \$58 million and \$121 million for the three and six months ended June 30, 2025, respectively.

Related Party Transactions

The Company had the following transactions with 3M and its affiliates, primarily in connection with the transition and master supply agreements, reported in the Company's condensed consolidated financial statements:

(Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Net sales of product	\$ 23	\$ 22	\$ 40	\$ 42
Cost of product	115	158	246	314
Selling, general and administrative expenses	50	59	106	126
Research and development expenses	2	3	4	6

Current amounts due from and due to 3M under various agreements described above are recognized within the due from related parties and due to related parties, as applicable, in the condensed consolidated financial statements. There were no non-current amounts due to 3M at June 30, 2026.

NOTE 17. Business Segments

Operating segments include components of an enterprise where separate financial information is available that is evaluated regularly by the Company's Chief Operating Decision Maker ("CODM") for the purpose of assessing performance and allocating resources. The Company's CODM is its Chief Executive Officer. The primary profitability measurement used by the CODM to review segment operating results is segment operating income. The CODM uses segment operating income to allocate resources during the strategic planning process and then holds the segments accountable to the resourcing decisions during the annual budgeting process. The CODM does not use asset information by segment to evaluate reportable segments as the CODM does not receive discrete asset information by segment. Beginning in third quarter 2025, as a result of the sale of the Purification and Filtration business, the Company's operating activities are managed primarily through the following reportable segments: MedSurg, Dental Solutions, and

Health Information Systems. There have been no changes to the composition of or to financial information reported within each of these reportable segments. These segments have been identified based on the

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nature of the products sold and how the Company manages its operations. Transactions among reportable segments are recorded at cost. No operating segments have been aggregated to form reportable segments.

All Other includes the drinking water business, which was previously reported within the Purification and Filtration business segment. The drinking water business results have been reclassified for comparability within All Other for all historical periods. All Other also includes sales and cost of sales related to our supply agreements with 3M and other supply agreements assumed by the Company at Spin-Off related to legacy 3M businesses, which were historically included in Corporate and Unallocated.

Certain items are maintained at the corporate level and not allocated to the segments ("Corporate and Unallocated"). Corporate and Unallocated primarily includes amortization of acquired intangible assets, restructuring and related charges, timing related benefits or costs associated with capitalized manufacturing variances, charges and recoveries related to certain litigation, transaction-related costs for acquisitions and divestitures, and gains on sale of businesses. In addition, Corporate and Unallocated includes Spin-Off and separation related costs. Spin-Off and separation related costs include any costs incurred as part of our separation from 3M and costs to setup operations as a standalone company, including system implementations, manufacturing relocations, certain equity awards granted as part of the Spin-Off, profit mark-ups on transition service arrangements with 3M and other one-time costs. Corporate and Unallocated also includes income and costs related to transition service agreements entered into in connection with the sale of the Purification and Filtration business.

Because Corporate and Unallocated includes a variety of miscellaneous items, it is subject to fluctuation on a quarterly and annual basis. Business segment operating income is reconciled to total operating income and pre-tax income below.

Consistent accounting policies have been applied on a consolidated basis as well as by all segments for all reporting periods.

[Table of Contents](#)**Business Segment Information and Disaggregated Net Sales**

Net Sales (Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Advanced Wound Care	\$ 537	\$ 467	\$ 1,034	\$ 915
Infection Prevention and Surgical Solutions	836	750	1,573	1,460
MedSurg	1,372	1,218	2,607	2,375
Dental Solutions	396	338	750	667
Health Information Systems	354	339	696	667
Total reportable segment net sales	2,122	1,895	4,053	3,709
Purification and Filtration	—	189	—	369
All Other	87	77	163	153
Total net sales	\$ 2,209	\$ 2,161	\$ 4,216	\$ 4,231

Cost of Sales (Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
MedSurg	\$ 595	\$ 603	\$ 1,217	\$ 1,151
Dental Solutions	124	113	243	231
Health Information Systems	82	91	162	179

Operating Expenses (Millions)*	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
MedSurg	\$ 423	\$ 404	\$ 874	\$ 808
Dental Solutions	141	129	289	260
Health Information Systems	126	128	258	260

* Operating expenses are comprised of selling, general and administrative expenses and research and development expenses as shown on the condensed consolidated statements of income.

Operating Performance (Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
MedSurg	\$ 355	\$ 210	\$ 516	\$ 416
Dental Solutions	131	96	218	175
Health Information Systems	145	120	276	229
Total reportable segment operating income	631	426	1,009	820
Purification and Filtration	—	43	—	70
All Other	19	8	30	19
Amortization expense	(90)	(78)	(181)	(159)
Corporate and Unallocated	(378)	(185)	(597)	(384)
Total operating income	181	214	262	367
Interest expense, net	64	103	125	207
Other expense/(income), net	9	8	13	19
Income before income taxes	\$ 108	\$ 103	\$ 123	\$ 141

[Table of Contents](#)**Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations**

The following discussion and analysis of our financial condition and results of operations should be read in conjunction with Solventum Corporation's ("Solventum," "we," "our," "us," or the "Company") condensed consolidated financial statements and corresponding notes elsewhere in this Quarterly Report on Form 10-Q. The following discussion and analysis provides information management believes to be relevant to understanding the financial condition and results of operations of Solventum for the three and six months ended June 30, 2026 and 2025. For full understanding of the Company's financial condition and results of operations, the discussion below should be read alongside the Management's Discussion and Analysis of Financial Condition and Results of Operations included in the Company's 2025 Annual Report on Form 10-K. This discussion contains forward-looking statements that are based upon current expectations and are subject to uncertainty and changes in circumstances. Our actual results could differ materially from the results contemplated by these forward-looking statements due to a number of factors, including those discussed below and elsewhere in this Quarterly Report on Form 10-Q, and particularly in Item 1A, "Risk Factors" in the Company's 2025 Annual Report on Form 10-K.

All amounts discussed are in millions of U.S. dollars, unless otherwise indicated. Amounts reported within this interim report are rounded to the nearest million and the sum of the components may not equal the total amount reported due to rounding. Additionally, certain columns and rows within tables may not sum due to rounding.

Management's Discussion and Analysis of Financial Condition and Results of Operations ("MD&A") is designed to provide a reader of Solventum's financial statements with a narrative from the perspective of management. Solventum's MD&A is presented in the following sections:

- Overview
- Results of Operations
- Performance by Business Segment
- Financial Condition and Liquidity

Overview

Solventum is a leading global healthcare company developing, manufacturing, and commercializing a broad portfolio of solutions that leverages deep material science, data science, and digital capabilities to address critical customer and patient needs. We constantly seek to enable the improvement of standards of care and move healthcare forward with innovation powered by insights, clinical intelligence, technology, and manufacturing expertise. Our 70+ year history of discovering and innovating advanced solutions has helped us solve our customers' toughest challenges and become a trusted partner.

Separation of Health Information Systems Business

On August 5, 2026, the Company announced its intention to pursue a separation of its Health Information Systems business as part of the company's ongoing portfolio optimization strategy. The company will evaluate a range of separation pathways with the objective of maximizing shareholder value that position both businesses for long-term success, accelerated innovation and enhanced growth opportunities.

Economic Environment - Tariffs

In 2025, the United States government announced tariffs on imported goods from certain countries. In response, some of those countries threatened or imposed retaliatory tariffs and other measures. On February 20, 2026, the United States Supreme Court issued a decision concluding that the International Emergency Economic Powers Act (the "IEEPA") does not provide authority for the President to impose tariffs. During 2025, certain tariffs that impacted us were imposed under this statute pursuant to presidential executive order, which are expected to be fully refunded. The U.S. has subsequently implemented new tariffs under different authorities, including Sections 122, 301, 338 and 232. The Company will continue to monitor developments. IEEPA tariff refunds are accounted for as a gain contingency and are recognized in the financial statements when fully realized or realizable. Refunds attributed to inventory previously sold are recorded as a reduction to cost of product and refunds attributed to hardware units are recorded as a reduction to carrying value of the capitalized assets.

In April 2026, the U.S. Customs and Border Protection ("CBP") agency formalized a process for refunds. In June 2026, the Company submitted requests for refunds that were accepted by the CBP totaling approximately \$120 million, including interest. The Company recognized a corresponding receivable for this amount within the condensed consolidated financial statements as of June 30, 2026.

[Table of Contents](#)***Operating Segments and Sales Change Information***

Solventum manages its operations in three reportable business segments: MedSurg, Dental Solutions, and Health Information Systems. On February 25, 2025, the Company entered into a Transaction Agreement to sell its Purification and Filtration business to Thermo Fisher Scientific Inc. ("Buyer"). On June 25, 2025, the Company and Buyer entered into an Amended and Restated Transaction Agreement (as amended, the "Agreement"), to exclude the Company's drinking water filtration business (the "Water Business") from the scope of the Purification and Filtration business to be acquired by Buyer (such acquired business, the "Business"). On September 1, 2025, Solventum completed the sale of the Business to the Buyer in accordance with the terms of the Agreement. The cash consideration paid to Solventum at closing was approximately \$4 billion.

During the second quarter 2026, the Company benefited from advanced customer ordering in connection with the Company's July 2026 U.S. enterprise resource planning ("ERP") deployment. Sales growth for the three months ended June 30, 2026 benefited by approximately \$125 million due to these advanced orders. The Company anticipates that sales in the third quarter of 2026 will be negatively impacted as customers reduce inventory to normal levels.

References are made to organic sales change, which is defined as the change in net sales, absent the separate impacts on sales from foreign currency translation and acquisitions, net of divestitures. Constant currency, as reflected in the tables below, is defined as the change in net sales absent the impact on sales from foreign currency translation. Other, as comprised in the tables below, includes acquisition and divestiture-related activities. Total Company divestiture impacts include lost sales from the Company's Purification and Filtration business that was sold in September 2025. Solventum believes this information is useful to investors and management in understanding ongoing operations and in analysis of ongoing operating trends.

Sales and Operating Income by Business Segment:

The following tables contain sales and operating results by business segment for all periods presented. The Company's use of the term "NM" reflects results considered not material due to either not having material activity in comparable prior years or is not meaningful. Refer to the section entitled "—Performance by Business Segment" below for discussion of sales change and operating performance. Refer to Note 17 to the condensed consolidated financial statements for additional information on business segments.

Segment and Total Company Net Sales

(Millions)	Three months ended June 30,		Increase/(Decrease)				
	2026	2025	Reported Growth	Currency Impact	Constant Currency	Other	Organic Growth
Segment Sales							
Advanced Wound Care	\$ 537	\$ 467	14.9 %	1.0 %	13.9 %	6.8 %	7.1 %
Infection Prevention and Surgical Solutions	836	750	11.3	1.2	10.1	—	10.1
MedSurg	1,372	1,218	12.7	1.1	11.6	2.7	8.9
Dental Solutions	396	338	17.0	1.8	15.2	—	15.2
Health Information Systems	354	339	4.4	0.2	4.2	(1.2)	5.4
Purification and Filtration	—	189	NM	NM	NM	NM	NM
All Other	87	77	11.8	1.2	10.6	—	10.6
Total Company	\$ 2,209	\$ 2,161	2.2 %	1.0 %	1.2 %	(8.3) %	9.5 %

(Dollars in millions)	Six months ended June 30,		Increase/(Decrease)				
	2026	2025	Reported Growth	Currency Impact	Constant Currency	Other	Organic Growth
Segment Sales							
Advanced Wound Care	\$ 1,034	\$ 915	12.9 %	1.7 %	11.2 %	6.6 %	4.6 %
Infection Prevention and Surgical Solutions	1,573	1,460	7.7	2.2	5.5	—	5.5
MedSurg	2,607	2,375	9.7	2.0	7.7	2.6	5.1
Dental Solutions	750	667	12.5	3.1	9.4	—	9.4
Health Information Systems	696	667	4.3	0.5	3.8	(1.3)	5.1
Purification and Filtration	—	369	NM	NM	NM	NM	NM
All Other	163	153	6.4	1.7	4.7	—	4.7
Total Company	\$ 4,216	\$ 4,231	(0.4) %	1.8 %	(2.2) %	(8.0) %	5.8 %

[Table of Contents](#)**Segment and Total Company Operating Income**

(Millions)	Three months ended June 30,		
	2026	2025	2026 vs 2025 change
Segment Operating Income			
MedSurg	\$ 355	\$ 210	68.7 %
Dental Solutions	131	96	35.7
Health Information Systems	145	120	20.9
Purification and Filtration	—	43	NM
All Other	19	8	131.4
Corporate and Unallocated	(469)	(263)	(77.5)
Total Company	\$ 181	\$ 214	(15.8) %

(Dollars in millions)	Six months ended June 30,		
	2026	2025	2026 vs 2025 change
Segment Operating Income			
MedSurg	\$ 516	\$ 416	23.9 %
Dental Solutions	218	175	24.5
Health Information Systems	276	229	20.4
Purification and Filtration	—	70	NM
All Other	30	19	55.4
Corporate and Unallocated	(778)	(543)	(43.0)
Total Company	\$ 262	\$ 367	(28.6) %

[Table of Contents](#)**Net Sales by Geographic Area**

While the Company manages its businesses globally and believes its business segment results are the most relevant measure of performance, the Company also utilizes geographic area data as a secondary performance measure. Sales are generally reported within the geographic area based on the location of the customer taking possession of the products or in which services are rendered.

Percent change information compares the three and six months ended June 30, 2026 with the same period for the prior year, unless otherwise indicated.

(Millions)	Three months ended June 30, 2026		
	United States	International	Worldwide
Net sales	\$ 1,313	\$ 896	\$ 2,209
% of worldwide sales	59.4 %	40.6 %	100.0 %
Increase/(decrease)			
Organic growth	13.5 %	4.1 %	9.5 %
Other	(3.1)	(14.2)	(8.3)
Constant currency	10.4	(10.1)	1.2
Currency impact	—	2.3	1.0
Reported growth	10.4 %	(7.8) %	2.2 %

(Millions)	Six months ended June 30, 2026		
	United States	International	Worldwide
Net sales (millions)	\$ 2,474	\$ 1,741	\$ 4,216
% of worldwide sales	58.7 %	41.3 %	100.0 %
Increase/(decrease)			
Organic growth	9.0 %	1.6 %	5.8 %
Other	(2.8)	(14.1)	(8.0)
Constant currency	6.2	(12.5)	(2.2)
Currency impact	—	4.1	1.8
Reported growth	6.2 %	(8.4) %	(0.4) %

Additional information beyond what is included in the preceding table is as follows:

Second quarter 2026 results:

- In the United States geographic area, both total sales and organic sales increased. Organic growth occurred across all segments, led by MedSurg and Dental Solutions, partly driven by advanced customer ordering in connection with the Company's ERP deployment. Other is comprised of lost sales due to the divestiture of the Purification and Filtration business in September 2025, partially offset by sales from the December 2025 Acera acquisition.
- In the International geographic area, total sales decreased while organic sales increased. Organic growth occurred across all segments, led by Dental Solutions and MedSurg. Other is comprised of lost sales due to the divestiture of the Purification and Filtration business in September 2025.

First six months 2026 results:

- In the United States geographic area, both total sales and organic sales increased. Organic growth occurred across all segments, led by MedSurg and Dental Solutions, partly driven by advanced customer ordering in connection with the Company's ERP deployment. Other is comprised of lost sales due to the divestiture of the Purification and Filtration business in September 2025, partially offset by sales from the December 2025 Acera acquisition.

- In the International geographic area, total sales decreased while organic sales increased. Organic growth was led by Dental Solutions and MedSurg, while Health Information Systems was flat. Other is comprised of lost sales due to the divestiture of the Purification and Filtration business in September 2025.

Managing currency risks

Refer to Note 11 to the condensed consolidated financial statements for additional details on the Company's hedging program.

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Foreign currency had a positive worldwide impact on sales for the second quarter 2026 compared to the same period last year. Solventum estimates that year-on-year foreign currency transaction effects, including hedging impacts, decreased pre-tax income by approximately \$5 million and \$10 million for the three and six months ended June 30, 2026, respectively.

Financial condition

Refer to the section entitled “—Financial Condition and Liquidity” below for a discussion of items impacting cash flows.

Results of Operations

Net Sales

Refer to the preceding “—Overview” section and the “—Performance by Business Segment” section later in MD&A for discussion of sales change.

Operating Expenses

(Percent of corresponding net sales)	Three months ended June 30,			Six months ended June 30,		
	2026	2025	Change	2026	2025	Change
Cost of product	47.5 %	51.9 %	(4.4)%	49.9 %	52.1 %	(2.2)%
Cost of software and rentals	22.7	24.5	(1.7)	23.0	25.1	(2.1)

Cost of Product

Cost of product includes manufacturing, engineering and logistics costs. The Company operates a global supply chain and sourcing organization, including product sourced under master supply and transition manufacturing agreements with 3M. As a result, the Company is impacted by changes in the global regulatory and economic environment, including tariffs. The evolving regulatory and economic environment may impact our cost or ability to source products. To the extent possible the Company takes actions to offset these costs or identify alternative sources of supply.

Cost of product, measured as a percent of sales of product, decreased in both the second quarter and first six months of 2026 as compared to the same periods last year. The decrease was primarily driven by IEEPA tariff refunds and the benefit from programmatic savings programs, partially offset by inflation and tariff costs, which had minor impacts in both the second quarter and first six months of 2025.

Cost of Software and Rentals

Cost of software and rentals includes compensation-related costs associated with installation, training and maintenance for our software products, and depreciation, maintenance and refurbishment costs and logistics costs related to our hardware rental units.

Cost of software and rentals, measured as a percent of sales of software and rentals, decreased during both the second quarter and first six months of 2026 as compared to the same periods last year due to the impact, driven by benefits from both price and product mix.

(Percent of total net sales)	Three months ended June 30,			Six months ended June 30,		
	2026	2025	Change	2026	2025	Change
Selling, general and administrative (SG&A)	42.0 %	35.7 %	6.2 %	41.6 %	36.4 %	5.2 %
Research and development (R&D)	8.1	8.7	(0.7)	8.7	9.0	(0.3)
Operating income	8.2	9.9	(1.7)	6.2	8.7	(2.5)

Selling, General and Administrative

SG&A, measured as a percent of total net sales, increased in both the second quarter and first six months of 2026 when compared to the same period last year. The increase was driven by accrued legal expenses, partially offset by insurance recoveries, and higher costs associated with activities to separate operations from 3M.

[Table of Contents](#)**Research and Development**

R&D, measured as a percent of total net sales, decreased in both the second quarter and first six months of 2026 when compared to the same period last year. The decrease was driven by the impact of higher sales in advance of the ERP deployment and higher capitalized software development costs, partially offset by additional amortization expense from the acquisition of Acera.

Interest Expense, Net and Other Expense (Income), Net

(Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Interest expense, net	\$ 64	\$ 103	\$ 125	\$ 207
Other expense (income), net	9	8	13	19

Interest expense, net includes interest accrued on debt obligations, offset by interest income from cash and marketable securities. Interest expense, net decreased for both the three and six months ended June 30, 2026 as compared to the same period last year due to lower interest expense as a result of lower debt outstanding.

Other expense (income), net includes the non-service component of periodic pension cost, investment gains and losses, and foreign currency transaction gain (loss). Other expense (income), net increased slightly for the three months ended June 30, 2026 as compared to the same period last year primarily due to higher foreign currency transaction losses mostly offset by lower periodic pension costs and losses on investments in the prior year. Other expense (income), net decreased for the six months ended June 30, 2026 as compared to the same period last year primarily due to lower periodic pension costs and higher gains on investments.

Provision for (benefit from) Income Taxes:

(Percent of pre-tax income/loss)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Effective tax rate	14.4 %	12.5 %	15.0 %	(61.0)%

Refer to Note 8 to the condensed consolidated financial statements for further discussion of income taxes.

Performance by Business Segment

Note 17 to the condensed consolidated financial statements provides an overview of Solventum's reportable business segments. Upon closing the sale of our Purification and Filtration business, we primarily manage our operations in three business segments: MedSurg, Dental Solutions, and Health Information Systems. Our Chief Operating Decision Maker evaluates segment operating performance using net sales and business segment operating income.

All Other

All Other primarily consists of the Water Business that was retained after the sale of the Purification and Filtration Business. All Other also includes sales and cost of sales related to our agreements to supply 3M and other supply agreements assumed by the Company at Spin-Off related to legacy 3M businesses, which were historically included within Corporate and Unallocated.

Corporate and Unallocated

Certain items are maintained at the corporate level and not allocated to the segments ("Corporate and Unallocated"). Corporate and Unallocated primarily includes amortization of acquired intangible assets, restructuring and related charges, timing related benefits or costs associated with capitalized manufacturing variances, charges and recoveries related to certain litigation, transaction-related costs for acquisitions and divestitures and gains on sale of businesses. In addition, Corporate and Unallocated includes Spin-Off and separation related costs. Spin-Off and separation related costs include any costs incurred as part of our separation from 3M and costs to setup operations as a standalone company, including system implementations, manufacturing relocations, certain equity awards granted as part of the Spin-Off, profit mark-ups on transition service arrangements with 3M and other one-time costs. Corporate and Unallocated also includes income and costs related to transition service agreements entered into in connection with the sale of the Purification and Filtration business.

Because Corporate and Unallocated includes a variety of miscellaneous items, it is subject to fluctuation on a quarterly and annual basis.

[Table of Contents](#)**Operating Business Segments**

Information related to the Company's segments is presented in the tables that follow with additional context in the corresponding narrative below the tables.

MedSurg (62.1% and 61.8% of consolidated sales for the three and six months ended June 30, 2026)

(Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Net sales	\$ 1,372	\$ 1,218	\$ 2,607	\$ 2,375
Increase/(decrease)				
Organic growth	8.9 %	3.9 %	5.1 %	4.9 %
Other	2.7	—	2.6	(0.5)
Constant currency	11.6	3.9	7.7	4.4
Currency impact	1.1	0.9	2.0	(0.3)
Reported growth	12.7 %	4.8 %	9.7 %	4.1 %
Business segment operating income	\$ 355	\$ 210	\$ 516	\$ 416
Percent change	68.7 %	(1.9) %	23.9 %	(4.4) %
Percent of sales	25.8 %	17.3 %	19.8 %	17.5 %

Second quarter 2026 results:

Sales in MedSurg were up 12.7%:

- Organic growth was impacted by approximately \$85 million or 7.0% due to advanced order timing ahead of the Company's U.S. ERP deployment. In addition, growth was driven by volume in I.V. site management products, including Tegaderm CHG, within our Infection Prevention and Surgical Solutions business. Advanced Wound Care business growth was driven by negative pressure wound therapy. Growth was partially offset by our SKU rationalization program, which had a larger impact on our Infection Prevention and Surgical Solutions business.
- Other includes sales from the Company's December 2025 acquisition of Acera.
- Foreign currency translation positively impacted sales by 1.1%

Business segment operating income margin increased when compared to the same period last year. The increase was primarily driven by recognition of receivables for IEEPA tariff refunds and cost savings programs, including Transform for the Future benefits. These increases were partially offset by higher product costs due to tariffs and other inflation, including freight.

First six months 2026 results:

Sales in MedSurg were up 9.7%:

- Organic growth was impacted by approximately \$85 million or 3.6% due to advanced order timing ahead of the Company's U.S. ERP deployment. In addition, growth was driven by volume in I.V. site management products, including Tegaderm CHG, within our Infection Prevention and Surgical Solutions business. Advanced Wound Care business growth was driven by negative pressure wound therapy. Growth was partially offset by our SKU rationalization program, which had a larger impact on our Infection Prevention and Surgical Solutions business.
- Other includes sales from the Company's December 2025 acquisition of Acera.
- Foreign currency translation positively impacted sales by 2.0%.

Business segment operating income margin increased when compared to the same period last year. The increase was primarily driven by recognition of receivables for IEEPA tariff refunds and cost savings programs, including Transform for the Future benefits. These increases were partially offset by higher product costs due to tariffs and other inflation, including freight.

[Table of Contents](#)***Dental Solutions (17.9% and 17.8% of consolidated sales for the three and six months ended June 30, 2026)***

(Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Net sales	\$ 396	\$ 338	\$ 750	\$ 667
Increase/(decrease)				
Organic growth	15.2 %	0.7 %	9.4 %	0.6 %
Other	—	—	—	(0.3)
Constant currency	15.2	0.6	9.4	0.3
Currency impact	1.8	1.6	3.1	(0.2)
Reported growth	17.0 %	2.3 %	12.5 %	0.1 %
Business segment operating income	\$ 131	\$ 96	\$ 218	\$ 175
Percent change	35.7 %	3.2 %	24.5 %	(13.8) %
Percent of sales	33.0 %	28.5 %	29.0 %	26.2 %

Second quarter 2026 results:

Sales in Dental Solutions were up 17.0%:

- Organic growth was impacted by approximately \$35 million or 10.4% due to advanced order timing ahead of the Company's U.S. ERP deployment. In addition, organic growth was driven by both restorative and prevention solutions and orthodontics solutions. Both volume and price contributed to growth, led by new products launched in the prior year.
- Foreign currency translation positively impacted sales by 1.8%.

Business segment operating income margin increased when compared to the same period last year as benefits from price, volume, savings programs, including Transform for the Future, and recognition of receivables for IEEPA tariff refunds, partially offset by tariffs and inflation, including freight.

First six months 2026 results:

Sales in Dental Solutions were up 12.5%:

- Organic growth was impacted by approximately \$35 million or 5.2% due to advanced order timing ahead of the Company's U.S. ERP deployment. In addition, organic growth was driven by both restorative and prevention solutions and orthodontics solutions. Both volume and price contributed to growth, led by new products launched in the prior year.
- Foreign currency translation positively impacted sales by 3.1%.

Business segment operating income margin increased when compared to the same period last year as benefits from price, volume, savings programs, including Transform for the Future, and recognition of receivables for IEEPA tariff refunds, partially offset by tariffs and inflation, including freight.

Health Information Systems (16.0% and 16.5% of consolidated sales for the three and six months ended June 30, 2026)

(Millions)	Three months ended June 30,		Six months ended June 30,	
	2026	2025	2026	2025
Net sales	\$ 354	\$ 339	\$ 696	\$ 667
Increase/(decrease)				
Organic growth	5.4 %	3.2 %	5.1 %	3.5 %
Other	(1.2)	—	(1.3)	—
Constant currency	4.2	3.2	3.8	3.5
Currency impact	0.2	0.2	0.5	—
Reported growth	4.4 %	3.4 %	4.3 %	3.5 %
Business segment operating income	\$ 145	\$ 120	\$ 276	\$ 229
Percent change	20.9 %	8.1 %	20.4 %	8.0 %
Percent of sales	41.0 %	35.5 %	39.6 %	34.3 %

[Table of Contents](#)***Second quarter 2026 results:***

Sales in Health Information Systems were up 4.4%:

- Organic growth was driven by continued adoption of our Solventum™ 360 Encompass™ and Performance Management Solutions.
- Clinician productivity solutions declined primarily due to impacts from changing market conditions.
- Foreign currency translation positively impacted sales by 0.2%.

Business segment operating income margin increased when compared to the same period last year, driven by price, favorable mix and savings from Transform for the Future.

First six months 2026 results:

Sales in Health Information Systems were up 4.3%:

- Positive organic growth was driven by continued adoption of our Solventum™ 360 Encompass™ and performance management solutions.
- Clinician productivity solutions declined primarily due to impacts from changing market conditions.
- Foreign currency translation positively impacted sales by 0.5%.

Business segment operating income margin increased when compared to the same period last year, driven by price, favorable mix and savings from Transform for the Future.

Financial Condition and Liquidity

Solventum's principal sources of liquidity are our existing cash and cash equivalents, cash generated from operations, and access to both our revolving credit facility and commercial paper program, which the Company believes will satisfy our foreseeable operating needs, capital expenditures, and debt service requirements. Discretionary cash may be allocated to strategic acquisitions, share repurchases, or repayment of debt obligations. The Company's cash position reflects business results and a global cash management strategy that leverages liquidity management along with analyzing economic factors and tax considerations.

Debt and Credit Facilities

Refer to Note 9 of the Company's condensed consolidated financial statements included elsewhere in this Quarterly Report on Form 10-Q for information on the Company's long-term debt and short-term borrowings.

The Company had approximately \$93 million and \$82 million in bank guarantees, surety bonds, and other similar instruments issued and outstanding at June 30, 2026 and December 31, 2025, respectively. These instruments are utilized in connection with normal business activities.

Commercial Paper

On March 4, 2024, the Company entered into a commercial paper program that allows it to issue up to \$2.0 billion aggregate principal amount of short-term notes to finance short-term liabilities. Any such issuance will mature within 364 days from the date of issue. There was no commercial paper outstanding as of June 30, 2026 or December 31, 2025.

Cash, cash equivalents and marketable securities

As of June 30, 2026, Solventum had \$403 million of cash and cash equivalents, of which approximately \$291 million was held by the Company's foreign subsidiaries and approximately \$112 million was held in the United States. These balances are invested in bank instruments and other high-quality fixed income securities. As of December 31, 2025, Solventum had \$878 million of cash and cash equivalents, of which approximately \$800 million was held by the Company's foreign subsidiaries and \$78 million was held in the United States. There were immaterial amounts of marketable securities at both June 30, 2026 and December 31, 2025.

Cash Flows

Cash flows from operating, investing and financing activities are provided in the table that follows. Individual amounts in the condensed consolidated statements of cash flows exclude the effect of exchange rate impacts on cash and cash equivalents, which are presented separately in the cash flows. Thus, the amounts presented in the following operating, investing and financing activities table reflect changes in balances from period to period adjusted for these effects.

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(Millions)	Six months ended June 30,	
	2026	2025
Cash provided by (used in):		
Operating activities	\$ 38	\$ 198
Investing activities	(164)	(224)
Financing activities	(350)	(249)
Effect of exchange rate changes on cash and cash equivalents	1	7
Net increase (decrease) in cash and cash equivalents	\$ (475)	\$ (268)

Operating Activities

In the first six months of 2026, cash flows provided by operating activities decreased compared to the first six months of 2025 primarily due to higher payments for annual incentive compensation and payments made in connection with the exit of certain transition agreements with 3M.

Investing Activities

In the first six months of 2026, cash flows used in investing activities decreased compared to the first six months of 2025 primarily due to capital spending related to the Purification and Filtration business that was included in the prior year comparable period.

Financing Activities

In the first six months of 2026, cash flows used in financing activities increased as compared to the first six months of 2025, due to cash outflows related to the Company's share repurchase program, partially offset by proceeds from debt issuance.

In November 2025, Solventum's Board of Directors approved a share repurchase program, which authorizes the Company to purchase up to \$1 billion of the Company's outstanding common stock. Under this program, the Company repurchased 3.9 million and 4.8 million shares of its common stock for total consideration of approximately \$288 million and \$355 million through open market repurchases during the three and six months ended June 30, 2026. There were no repurchases made under this program in 2025.

Material Cash Requirements from Known Contractual and Other Obligations:

Solventum's material cash requirements from known contractual and other obligations primarily relate to the following, for which information on both a short-term and long-term basis is provided in the indicated notes to the condensed consolidated financial statements:

- Tax obligations—Refer to Note 8 to the condensed consolidated financial statements.
- Debt—Refer to Note 9 to the condensed consolidated financial statements.
- Commitments and contingencies—Refer to Note 12 to the condensed consolidated financial statements.

Solventum purchases the majority of its materials and services as needed, with no unconditional commitments. In limited circumstances, in the normal course of business, the Company enters into unconditional purchase obligations with various vendors that may take the form of, for example, take or pay contracts in which the Company guarantees payment to ensure availability of certain materials or services or to ensure ongoing efforts on capital projects. Additionally, the Company enters into contractual obligations for cloud storage solutions, enterprise resource planning and other IT-related services. The Company expects to receive underlying materials or services for these purchase obligations. To the extent these purchase obligations fluctuate, they largely trend with normal-course changes in regular operating activities. Additionally, contractual capital commitments represent a small part of the Company's expected capital spending.

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Cautionary Note Concerning Forward Looking Statements

This Quarterly Report on Form 10-Q, including “Management’s Discussion and Analysis of Financial Condition and Results of Operations” in Part I, Item 2, other materials Solventum has filed or will file with the SEC, and oral communications that Solventum may make, contain statements that relate to future events and expectations. Any such statements that are not statements of historical fact are “forward-looking statements” within the meaning of the Private Securities Litigation Reform Act of 1995, Section 27A of the Securities Act of 1933, and Section 21E of the Exchange Act of 1934, and involve risk and uncertainties. Forward-looking statements include those containing such words as “anticipates,” “believes,” “can,” “continue,” “could,” “estimates,” “expects,” “forecasts,” “goal,” “guidance,” “intends,” “may,” “outlook,” “plans,” “potential,” “predicts,” “projects,” “seeks,” “sees,” “should,” “targets,” “will,” “would” or other words of similar meaning.

Forward-looking statements include statements that reflect Solventum’s expectations, assumptions, estimates, or projections about the future and include, without limitation, forecasts relating to discussions of future operations and financial performance (including volume growth, pricing, sales and earnings per share growth and cash flows), business plans or prospects, Solventum’s review of strategic alternatives for its health care information systems business, or potential benefits for any such strategic alternatives or transaction, and statements regarding Solventum’s strategy for growth, future product development, regulatory clearances and approvals, competitive position and expenditures. Forward-looking statements are not guarantees of future performance and are subject to risks, uncertainties, and changes in circumstances that are difficult to predict. Although Solventum believes that the expectations reflected in any forward-looking statements it makes are based on reasonable assumptions, it can give no assurance that these expectations will be attained and it is possible that actual results may differ materially from those indicated by these forward-looking statements due to a variety of risks and uncertainties. Such risks and uncertainties include, but are not limited to:

- whether Solventum will be able to identify or develop any strategic alternatives for Solventum’s health information systems business and its ability to execute on material aspects and achieve any of the anticipated potential benefits of any such strategic alternatives;
- the occurrence of any event, change or other circumstances that could give rise to the abandonment of the review of strategic alternatives for the health information systems business or pursuit of a different structure or strategic alternative for that business;
- uncertainties as to the timing of the review of strategic alternatives for the health information systems business;
- the effects of, and changes in, worldwide economic, political, regulatory, international, trade and geopolitical conditions, natural disasters, war, global conflicts, public health crises, and other events beyond Solventum’s control;
- risks associated with market volatility, including potential inflationary pressures and uncertainty regarding tariffs and trade measures;
- operational execution risks;
- damage to our reputation or our brands;
- risks from acquisitions, strategic alliances, divestitures and other strategic events, including the divestiture of our Purification and Filtration business;
- Solventum’s business dealings involving third-party partners in various markets;
- Solventum’s ability to access the capital and credit markets, changes in Solventum’s credit ratings, or potential amendments, refinancings or other modifications of our credit arrangements and the availability and terms of future financing;
- exposure to interest rate and currency risks;
- the highly competitive environment in which Solventum operates and consolidation in the healthcare industry;
- reduction in customers’ research budgets or government funding;
- the timing and market acceptance of Solventum’s new product and service offerings;
- ongoing working relationships with certain key healthcare professionals;
- changes in reimbursement practices of governments or private payers or other cost containment measures;
- Solventum’s ability to obtain components or raw materials supplied by third parties and other manufacturing and related supply chain difficulties, interruptions, and disruptive factors;
- legal and regulatory proceedings and legal compliance risks (including third-party risks) with regards to antitrust, Foreign Corrupt Practices Act (“FCPA”) and other anti-bribery laws, environmental laws, anti-kickback and false claims laws, privacy laws, tax laws, and other laws and regulations in the United States and other countries in which Solventum operates;
- potential liabilities related to a broad group of perfluoroalkyl and polyfluoroalkyl substances, collectively known as “PFAS”;
- risks related to the highly regulated environment in which Solventum operates;
- risks associated with product liability claims;

- climate change and measures to address climate change;
- security breaches, cyber attacks or incidents, and other disruptions to information technology infrastructure;

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- risks related to the deployment of artificial intelligence or other emerging technologies;
- Solventum's failure to obtain, maintain, protect, or effectively enforce its intellectual property rights;
- pension and postretirement obligation liabilities;
- any failure by 3M to perform any of its obligations under the various separation agreements in connection with the Spin-Off;
- any failure to realize the expected benefits of the Spin-Off;
- Solventum's ability to execute on its short- and long- range plans and capital allocation strategies;
- a determination by the IRS or other tax authorities that the Spin-Off or certain related transactions should be treated as taxable transactions;
- financing transactions undertaken in connection with the Spin-Off and risks associated with additional indebtedness;
- the risk that incremental costs of operating on a standalone basis (including the loss of synergies), costs of restructuring transactions and other costs incurred in connection with the Spin-Off will exceed Solventum's estimates;
- the impact of the Spin-Off on Solventum's businesses and the risk that the Spin-Off may be more difficult, time-consuming or costly than expected, including the impact on Solventum's resources, systems, procedures and controls, diversion of management's attention and the impact on relationships with customers, suppliers, employees and other business counterparties; and
- such other risks and uncertainties described more fully in documents filed with or furnished to the SEC from time to time, including the risk factors discussed in Solventum's Annual Report on Form 10-K for the year ended December 31, 2025.

The above list is not exhaustive or necessarily set forth in the order of importance. Forward-looking statements are based on certain assumptions and expectations of future events and trends, and actual future results and trends may differ materially from historical results or those reflected in any such forward-looking statements depending on a variety of factors.

Important information as to these factors can be found in this document, including, among others, "Management's Discussion and Analysis of Financial Condition and Results of Operations" under the headings of "Overview," "Financial Condition and Liquidity" and annually in "Critical Accounting Estimates." Discussion of these factors is incorporated by reference from Part II, Item 1A, "Risk Factors," of this document, and should be considered an integral part of Part I, Item 2, "Management's Discussion and Analysis of Financial Condition and Results of Operations." For additional information concerning factors that may cause actual results to vary materially from those stated in the forward-looking statements, see our reports on Form 8-K filed with the SEC from time to time and the Company's Annual Report on Form 10-K for the year ended December 31, 2025, as filed with the SEC. Any forward-looking statement speaks only as of the date on which it is made, and Solventum assumes no obligation to update or revise such statement, whether as a result of new information, future events or otherwise, except as required by applicable law.

Item 3. Quantitative and Qualitative Disclosures About Market Risk

Foreign Currency Exchange Rate Risks:

Solventum faces transactional exchange rate risk from transactions with customers in countries outside the United States and from intercompany transactions between affiliated entities. Foreign currency exchange rates and fluctuations in those rates may cause fluctuations in cash flows related to foreign denominated transactions. The Company is also exposed to the translation of foreign currency earnings to the U.S. dollar.

Interest Rate Risk:

Solventum manages interest rate risk and expense using a mix of fixed and floating rate debt. In addition, the Company may enter into interest rate swaps that are designated and qualify as fair value hedges. The Company's interest rate sensitivity analysis includes the impact of interest rate changes on its floating-rate notes, interest rate swap agreements, and cash balances.

Commodity Price Risk:

Solventum manages commodity price risks through negotiated supply contracts and price protection agreements. The Company does not participate in material commodity hedging activity.

Item 4. Controls and Procedures

Evaluation of Disclosure Controls and Processes

The Company carried out an evaluation, under the supervision and with the participation of its management, including the Chief Executive Officer and Chief Financial Officer, of the effectiveness of the design and operation of the Company's "disclosure controls and procedures" (as defined in the Exchange Act Rule 13a-15(e)) as of the end of the period covered by this report.

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Based upon that evaluation, the Chief Executive Officer and Chief Financial Officer concluded that the Company's disclosure controls and procedures are effective.

Changes in Internal Controls Over Financial Reporting

During the quarter ended March 31, 2026, we completed the second phase of the implementation of our new SAP enterprise resource planning system, which primarily consisted of deployments within certain operations in Europe and China. This implementation included changes to certain financial processes and related internal controls. We are continuing to evaluate and monitor the impact of these changes on our processes, procedures and internal control over financial reporting. There have been no other changes in the Company's internal control over financial reporting (as such term is defined in Rule 13a-15(f) of the Exchange Act) that occurred during the period covered by this report that have materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

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SOLVENTUM CORPORATION
FORM 10-Q
For the Quarterly Period Ended June 30, 2026

PART II. Other Information

Item 1. Legal Proceedings

Discussion of legal matters is incorporated by reference from Part I, Item 1, Note 12, "Commitments and Contingencies," of this document, and should be considered an integral part of Part II, Item 1, "Legal Proceedings."

Item 1A. Risk Factors

Our business, financial condition and operating results are affected by a number of factors, whether currently known or unknown, including risks specific to us or our industry, as well as risks that affect businesses in general. In addition to the factors set forth under the caption "Cautionary Note Concerning Forward-Looking Statements" set forth in this Quarterly Report on Form 10-Q, you should carefully consider the risk factors described in Part I, Item 1A of our Annual Report on Form 10-K for the fiscal year ended December 31, 2025. The risk factor set forth below updates, and should be read in conjunction with, the risk factors disclosed in such Annual Report on Form 10-K. Other than the risk factor set forth below, we believe there have been no material changes from the risk factors disclosed in our Annual Report on Form 10-K for the fiscal year ended December 31, 2025. However, additional risks and uncertainties not currently known or which we currently deem to be immaterial may also materially adversely affect our business, financial condition, or results of operations.

Discussion of these factors is incorporated by reference into and considered an integral part of Part I, Item 2, "Management's Discussion and Analysis of Financial Condition and Results of Operations."

Risks related to Solventum's review of strategic alternatives for its health information system business

We are evaluating strategic alternatives for our health information systems business. The review may not result in the identification or implementation of a strategic alternative, and any alternative that is pursued may not be completed within any given timeframe or at all. We may be unable to successfully execute any strategic alternative or realize any or all strategic, operational, or financial benefits. The review process may also create uncertainty to our customers, employees and other constituencies or counterparties and divert management attention from ongoing operations. We may incur costs and expenses in connection with the review process, whether or not a transaction is successful. In addition, we may determine to abandon the review, pursue a different structure, or take no action. Any of these factors could have a material adverse effect on our business, financial condition, results of operations, or cash flows.

Item 2. Unregistered Sales of Equity Securities and Use of Proceeds

There were no unregistered sales of equity securities during the period covered by this report.

Issuer Purchases of Equity Securities

The following table summarizes the Company's stock repurchase activity for the three months ended June 30, 2026:

Period	Total Number of Shares Purchased	Average Price Paid per Share	Total Number of Shares Purchased as Part of Publicly Announced Plans or Programs	Maximum Approximate Dollar Value of Shares that May Yet Be Purchased under the Plans or Programs (1)
March 31, 2026 through April 29, 2026	403,691	\$ 66.95	403,691	\$ 906,056,102
April 30, 2026 through May 28, 2026	2,206,520	74.52	2,206,520	741,619,826
May 29, 2026 through June 29, 2026	1,243,501	77.57	1,243,501	645,158,455
Total	3,853,712	\$ 74.71	3,853,712	\$ 645,158,455

¹ In November 2025, the Board of Directors approved of a stock repurchase program providing up to \$1.0 billion of repurchases of the Company's common stock. There is no specific time period associated with these repurchases.

[Table of Contents](#)**Item 3. Defaults Upon Senior Securities**

No matters require disclosure.

Item 4. Mine Safety Disclosures

Not applicable.

Item 5. Other Information*Insider Trading Arrangements and Policies*

During the three months ended June 30, 2026, no director or officer of the Company adopted or terminated a "Rule 10b5-1 trading arrangement" or "non-Rule 10b5-1 trading arrangement," as each term is defined in Item 408(a) of Regulation S-K.

Availability of Information

Solventum's website address is www.solventum.com. Investors and others should note that the Company announces material information to its investors using SEC filings, press releases, its investor relations website, public conference calls, webcasts and certain social media channels, including the following LinkedIn accounts: <https://www.linkedin.com/in/bryanchanson/>, and <https://www.linkedin.com/in/wayde-mcmillan-9b233b33/>. The Company uses these channels to communicate with investors, customers and the public about the Company, its products and other issues and for complying with its disclosure obligations under Regulation FD. The information on, or that may be accessed through, Solventum's website is not incorporated by reference into this Quarterly Report on Form 10-Q and should not be considered a part of this Quarterly Report on Form 10-Q.

Item 6. Exhibits

- (3.1) [Amended and Restated Certificate of Incorporation of Solventum Corporation \(incorporated by reference to Exhibit 3.1 from Solventum's Form 8-K, filed April 4, 2024\)](#)
- (3.2) [Amended and Restated Bylaws of Solventum Corporation \(incorporated by reference to Exhibit 3.1 from Solventum's Form 8-K, filed September 26, 2024\)](#)
- (4.1) [Indenture, dated as of February 27, 2024, between Solventum Corporation and U.S. Bank Trust Company, N.A., as successor trustee, with respect to Solventum's senior notes, is incorporated by reference from Exhibit 4.1 to Amendment No.2 to the Company's Registration Statement on Form 10, filed March 11, 2024.](#)
- (4.2) [First Supplemental Indenture, dated as of February 27, 2024, to Indenture dated as of February 27, 2024, between Solventum Corporation and U.S. Bank Trust Company, N.A., as successor trustee, with respect to Solventum's senior debt notes, is incorporated by reference from Exhibit 4.2 to Amendment No. 2 to the Company's Registration Statement on Form 10, filed March 11, 2024.](#)
- (10.1) [Solventum Executive Severance Plan \(incorporated by reference to Exhibit 10.1 from Solventum's Form 8-K, filed May 27, 2026\)](#)
- (10.2) [Solventum 2024 Long-Term Incentive Plan Restricted Stock Unit Awards Agreement Two-Year Cliff Vesting \(filed herewith\)](#)
- (10.3) [Solventum 2024 Long-Term Incentive Plan Restricted Stock Unit Awards Agreement Two-Year Ratable Vesting \(filed herewith\)](#)
- (10.4) [Solventum 2024 Long-Term Incentive Plan Restricted Stock Unit Awards Agreement Three-Year Ratable Vesting \(filed herewith\)](#)

Filed herewith, in addition to items, if any, specifically identified above:

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- (31.1) [Certification of the Chief Executive Officer pursuant to Section 302 of the Sarbanes-Oxley Act of 2002, 18 U.S.C. Section 1350.](#)
- (31.2) [Certification of the Chief Financial Officer pursuant to Section 302 of the Sarbanes-Oxley Act of 2002, 18 U.S.C. Section 1350.](#)
- (32.1) [Certification of the Chief Executive Officer pursuant to Section 906 of the Sarbanes-Oxley Act of 2002, 18 U.S.C. Section 1350.](#)
- (32.2) [Certification of the Chief Financial Officer pursuant to Section 906 of the Sarbanes-Oxley Act of 2002, 18 U.S.C. Section 1350.](#)
- (101.INS) Inline XBRL Instance Document (the instance document does not appear in the Interactive Data File because its XBRL tags are embedded within the Inline XBRL document)
- (101.SCH) Inline XBRL Taxonomy Extension Schema Document
- (101.CAL) Inline XBRL Taxonomy Extension Calculation Linkbase Document
- (101.DEF) Inline XBRL Taxonomy Extension Definition Linkbase Document
- (101.LAB) Inline XBRL Taxonomy Extension Label Linkbase Document
- (101.PRE) Inline XBRL Taxonomy Extension Presentation Linkbase Document
- (104) Cover Page Interactive Data File (formatted as Inline XBRL and contained in Exhibit 101)

SIGNATURES

Pursuant to the requirements of the Securities Exchange Act of 1934, the Registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

SOLVENTUM CORPORATION

(Registrant)

Date: August 5, 2026

By /s/ Wayde McMillan
Wayde McMillan,
Executive Vice President and Chief Financial Officer
(Mr. McMillan is a Principal Financial Officer and has
been duly authorized to sign on behalf of the Registrant.)